

Theme 3

Revision Notes

3.3.1 Business objectives and strategy

What is a mission statement?

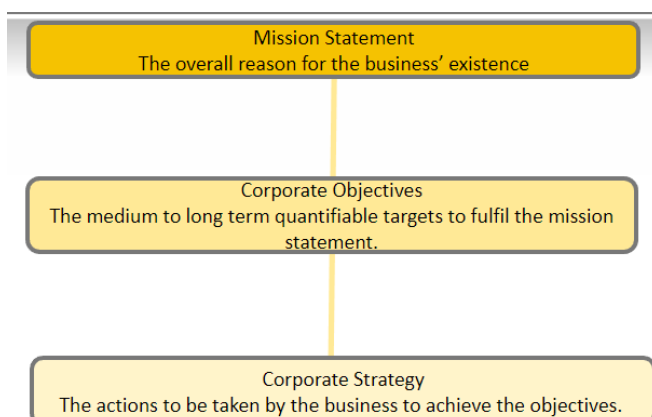
A mission statement is a brief written statement of the purpose of a company or organisation. Ideally a mission statement guides the actions of the organisation, spells out its overall goal, provides a sense of direction, and guides decision making for all levels of management.

Potential Benefits

- **To promote the business;** as the statement can give a very good impression to stakeholder groups. e.g. focus on low prices or high quality
- **To set corporate objectives;** managers can break down the mission statement into SMART corporate objectives.
- **To give the business direction** i.e. something to aim for in the long term.
- **To motivate workers;** to provide direction and an aim which may appeal to many employees (e.g. ethical stance)
- **To attract investment;** sends out a powerful message which appeals to potential shareholders.

Potential Drawbacks

- In terms of day-to-day planning the mission statement has limited value. This is because managers require **measurable corporate objectives** and often it is very difficult to create SMART targets from the wording of a mission statement.
- Often perceived to be a marketing ploy rather than a meaningful statement of intent
- Also, it is often never seen by stakeholders such as customers and employees so will have minimal impact.
- Investors may be interested by a mission statement but a decision to invest would normally require access to a business plan, accounts etc. They are highly unlikely to invest by just reading a mission statement.



The most effective business objectives meet the following **SMART** criteria:

S – Specific – objectives are aimed at what the business does, e.g. a hotel might have an objective of filling 60% of its beds a night during October, an objective specific to that business.

M - Measurable – the business can put a value to the objective, e.g. £10,000 in sales in the next half year of trading.

A – Agreed (or attainable) by all those concerned in trying to achieve the objective.

R - Realistic – the objective should be challenging, but it should also be able to be achieved by the resources available.

T- Time specific – they have a time limit of when the objective should be achieved, e.g. by the end of the year.

Business objectives include:

Survival

- To continue to exist as a business
- This may be the most important objective in the short term
- This may be the primary objective of a start-up business or one experiencing difficult trading conditions
- To achieve this a business may set a cash flow objective to ensure sufficient cash is available to meet day to day expenses

Profit maximisation

- To produce at the level of output where the surplus of sales revenue over total costs is at its highest
profit = SR – TC
- This will help keep investors happy as well as fund growth

Other business objectives include:

Cost efficiency

- To control costs so that the maximum value of outputs is achievable with the lowest value of inputs
- This is necessary to support an objective of profit maximisation

Employee welfare

- To look after the economic and physical well being of the workforce
- A motivated workforce will increase productivity
- Helps maintain positive employer/employee relations

Customer satisfaction

- To ensure that goods and services meet the needs and expectations of the customer
- Helps to build customer loyalty and repeat business maximising sales in the long run

Social

- To behave in a way which benefits society
- This could include to create employment, support the local community or improve educational standards

Corporate strategy

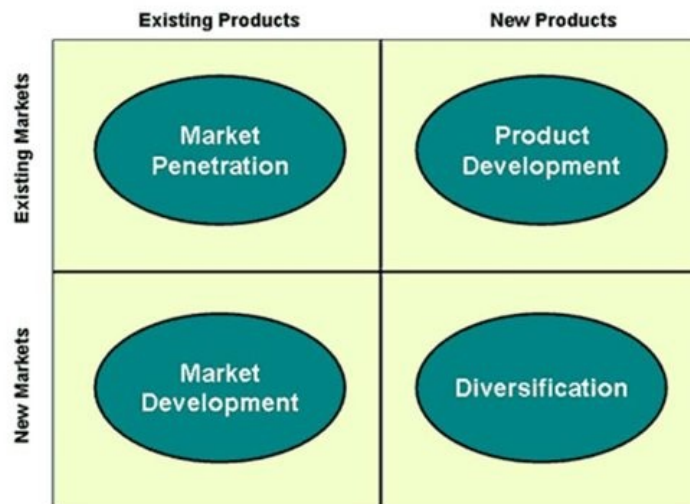
- Corporate strategy is the course or route that a business has chosen to follow in order to achieve its corporate objectives.
- This will in part be informed by an assessment of the business' internal strengths and weaknesses and external opportunities and threats.
- Corporate strategy will influence which markets a business chooses to compete in and which products to offer.

Ansoff Matrix

Ansoff looked at the degree of risk and potential for reward from different strategic options.

He identified 4 potential growth strategies:

- Market penetration
- Market development
- New product development
- Diversification



Market penetration

Market penetration is the name given to a growth strategy where the business focuses on selling existing products into existing markets.

Market penetration seeks to **achieve four main objectives:**

- Maintain or increase the market share of current products – this can be achieved by a combination of competitive pricing strategies, advertising, sales promotion and perhaps more resources dedicated to personal selling
- Secure dominance of growth markets
- Restructure a mature market by driving out competitors; this would require a much more aggressive promotional campaign, supported by a pricing strategy designed to make the market unattractive for competitors
- Increase usage by existing customers – for example by introducing loyalty schemes

A market penetration marketing strategy is very much about “business as usual”. The business is focusing on markets and products it knows well. It is likely to have good information on competitors and on customer needs. It is unlikely, therefore, that this strategy will require much investment in new market research.

Potential dangers of this strategy include:

- Competitors’ reactions
- Market may already be saturated

Market development

Market development is the name given to a growth strategy where the business seeks to sell its existing products into new markets.

There are many possible ways of approaching this strategy, including:

- New geographical markets; for example exporting the product to a new country
- New product dimensions or packaging: for example
- New distribution channels (e.g. moving from selling via retail to selling using e-commerce and mail order)
- Different pricing policies to attract different customers or create new market segments

Potential dangers of this strategy include:

- The product may not be accepted, desired or understood in a new market
- Strong competition in a new market
- The business may not understand the new market
- Alienation of current customers

Product development

Product development is the name given to a growth strategy where a business aims to introduce new products into existing markets. This strategy may require the development of new competencies and requires the business to develop modified products which can appeal to existing markets.

A strategy of product development is particularly suitable for a business where the product needs to be differentiated in order to remain competitive. A successful product development strategy places the marketing emphasis on:

- Research & development and innovation
- Detailed insights into customer needs (and how they change)
- Being first to market

Potential dangers of this strategy include:

- High product development costs
- May shorten product life cycle of existing products
- May be "beaten to market" by competitor so lower sales than anticipated

Diversification

Diversification is the name given to the growth strategy where a business markets new products in new markets.

This is an inherently more risk strategy because the business is moving into markets in which it has little or no experience.

For a business to adopt a diversification strategy, therefore, it must have a clear idea about what it expects to gain from the strategy and an honest assessment of the risks. However, for the right balance between risk and reward, a marketing strategy of diversification can be highly rewarding.

Potential dangers of this strategy include:

- High costs
- Aggressive response from competitors – barriers to entry
- Brand name may be diluted
- Cultural differences may exist

Advantages of Ansoff Matrix

- Helps a business to understand that there are 4 different growth strategies
- Helps a business to understand the risk attached to each growth strategy. e.g. market penetration - low risk and diversification- high risk. A business will know that when the risk is higher - more research and planning needs to be undertaken to minimise the risk.

Disadvantages of Ansoff Matrix

- It does not provide a business with any specific information on how to implement these growth strategies. For example, with market development a business will have to conduct a significant amount of research to determine how best to penetrate a new market with existing products.
- It does not consider the external environment and whether it is a sensible decision to pursue, for example, a diversification strategy.

Porter's Strategic Matrix

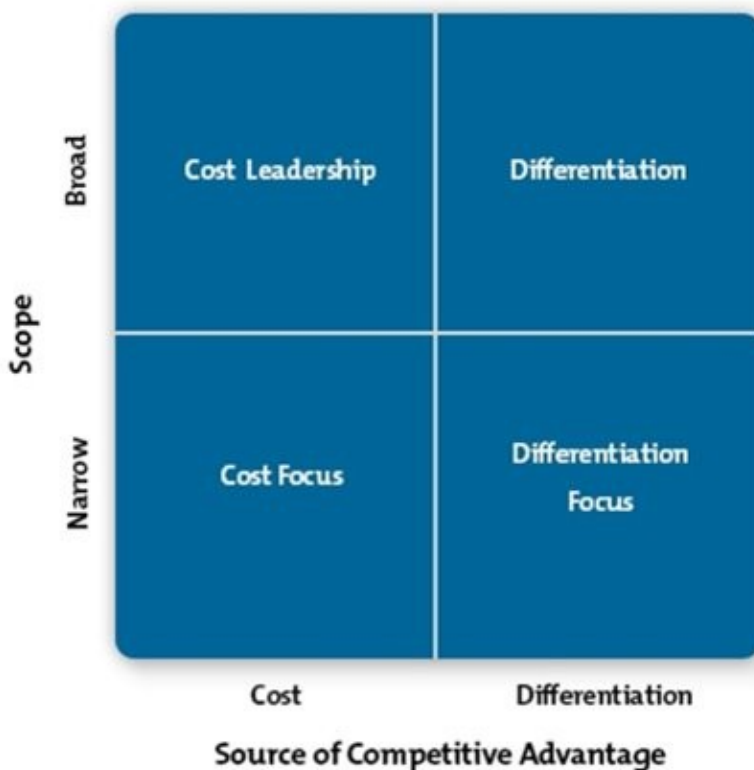
A matrix that categorises the marketing strategies a business can adopt to try and achieve a competitive advantage

Analyses low cost v. differentiation

Porter's basic premise is to be one thing or the other and not be "stuck in the middle"

He emphasises the danger of the middle ground, almost as if it is a "no mans' land" where there is little protection.

He believes that businesses must put their flag in one camp and remain clearly focused on this.



Porter states that a strategy of low cost can be successful in either a mass or niche market.

He refers to this as cost leadership, in the mass market, and cost focus, in a niche market.

Cost leadership means being able to offer your good or service at the lowest cost possible.

A business that operates with the lowest cost can **charge the lowest prices** but does not necessarily have to – i.e. can just increase profit margins.

Porter states that a strategy of differentiation can be successful in either a mass or niche market.

He refers to this as differentiation, in the mass market, and differentiation focus, in a niche market.

- Differentiation means being able to offer a good or service that stands out from the competition.

- Product – has to appear better than the competition e.g. USP or patents
- Promotion – create desire, exclusivity, brand loyalty
- Operational objectives will focus on R&D and innovation

Advantages

- A business has a clear understanding as to how to gain a competitive advantage. e.g. the use of differentiation if targeting a mass market.
- A business will understand that if they try to adopt **TWO** strategies at the same time e.g. cost leadership and differentiation they will be “stuck in the middle”. This means they will not have a USP and will lose their competitive advantage to businesses that focus on just one approach.

Disadvantages

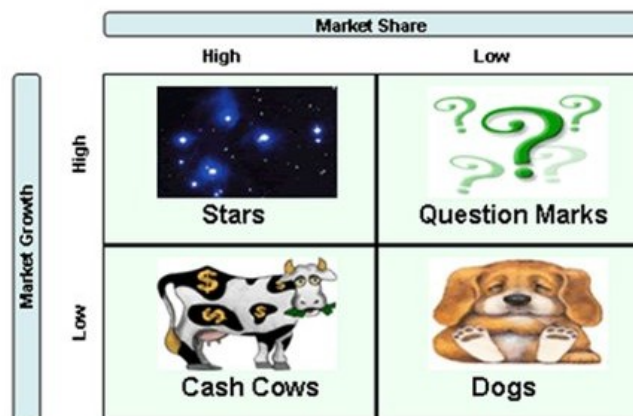
- Porter made it clear that a business can only use **ONE** strategy, or they will lose their competitive advantage. However, many successful businesses are now using **TWO** strategies (e.g. Superdry) and have enjoyed significant success. The fact that some markets are very competitive has forced many businesses to differentiate but also to be more affordable. This means that Porters theory may now be outdated.

Product Portfolio Analysis – Boston Matrix

- Product portfolio analysis looks at the range of products and brands that a firm has under its control.
- A businesses product range is called its product portfolio.
- This type of analysis can help a firm identify where every single one of its products is positioned in the market.

Each category or product is given a name:

- ⦿ Cash cow
- ⦿ Rising star
- ⦿ Problem child
- ⦿ Dog



Star products

❖ **High market share in a high growth market**

- ❖ These products enjoy increasing sales revenue
- ❖ However, because the market is growing other firms are entering the market with similar products, therefore there will be fierce competition between these firms
- ❖ There is usually heavy promotional spending and increased capital investment in order to increase capacity
- ❖ Cash flow can often be negative at first
- ❖ Rising stars are often funded from cash cows
- ❖ It is hoped that a star can go on to become a cash cow but many stars eventually become dogs

Question Mark (Problem Child) products

❖ **Low market share in a high growth market**

- ❖ With growth in the market a product can be very successful if there is enough demand
- ❖ However, some products are unsuccessful and the firm will have to decide whether to persevere with the product or discontinue it
- ❖ A problem child, or question mark, will require a lot of attention, particularly in the form of marketing
- ❖ Nurturing the problem child to help it achieve its potential will cost the firm time and money
- ❖ If sales of the product can be increased there is the opportunity for increased profits in the future and the product can be turned into a cash cow

Cash Cow products

❖ **High market share in a low growth market**

- ❖ These are established products
- ❖ The profits made through these products can be used to finance other products such as rising stars
- ❖ Firms will want to establish as many cash cows as possible.
- ❖ With low market growth there is likely to be less competition from new firms entering the market, therefore firms can spend less on advertising
- ❖ A product is called a cash cow because a firm can 'milk' the product to finance other areas of the business

Dog products

❖ Low market share in a low growth market

- ❖ Dogs are unlikely to be kept on by a company
- ❖ With little growth in the market and little market share the company might see little scope for future profits
- ❖ This does not always mean that the company will discontinue the product, if there is a market, then some products can still be profitable
- ❖ However, when a firm looks at its range of products it is more likely to concentrate on cash cows and rising stars rather than dogs

Benefits

- ⊗ The BCG matrix is a good starting point when reviewing an existing product line to decide future strategy and budgets e.g. dogs should be withdrawn
- ⊗ The BCG helps businesses analyse future opportunities or problems with their product portfolios
- ⊗ The conclusions drawn from such an analysis are to transfer the surplus cash from cash cows to the stars and the question marks, and to close down or sell off the dogs.

Drawbacks

- ⊗ Dog products may still support the businesses cash flow. As they incur low costs it may be the wrong decision to withdraw them.
- ⊗ BCG matrix classifies businesses as low and high, but generally businesses can be medium also. Thus, the true nature of business may not be reflected.
- ⊗ High market share does not always leads to high profits. There are high costs also involved with high market share.
- ⊗ Growth rate and relative market share are not the only indicators of profitability. This model ignores and overlooks other indicators of profitability.

Effect of strategic and tactical decisions on human, physical and financial resources

Strategy - More long term and relates to achieving an overall goal.

Impact on resources:

- Human (recruitment, training, redundancy) - a strategy to make more staff redundant can save huge costs but may drain resources away from other aspects of the business.
- Physical (investment in fixed assets, location) - moving premises in the long-term may allow for a smoother transition.
- Financial (sources of finance) - a firm may take out a long-term loan to pay for property - this can spread finances over a longer period of time.

Tactics - Shorter-term actions that help to achieve the strategy.

Impact on resources:

- Human (recruitment, training, redundancy) - such shorter-term actions can help a firm towards a longer-term recruitment drive without being a big drain on resources in one big action.
- Physical (investment in fixed assets, location) - moving premises in the short-term may have a huge impact on the resources available to a firm.
- Financial (sources of finance) - a firm may take out a short-term loan to improve their cash-flow - these are often costlier.

SWOT Analysis

A diagnostic tool used to identify the internal strengths and weaknesses and the external opportunities and threats to a business.

- Strengths; **Internal** factors within a business that can help it achieve its objectives
- Weaknesses; **Internal** factors that could prevent a business from achieving its objectives
- Opportunities; **External** business circumstances that can help it achieve its objectives
- Threats; **External** problems that may prevent a business from achieving its objectives

Strengths and weaknesses are internal to the business and can relate to any of the functional areas including:

- ⦿ Financial performance e.g. profitability, liquidity, gearing
- ⦿ Resource management e.g. quality, stock control, relationship with suppliers, lean production
- ⦿ Human resource management e.g. employer/employee relationships, workforce performance
- ⦿ Marketing e.g. product portfolio, brand recognition
- ⦿ Culture of the business
- ⦿ Corporate social responsibility and ethics

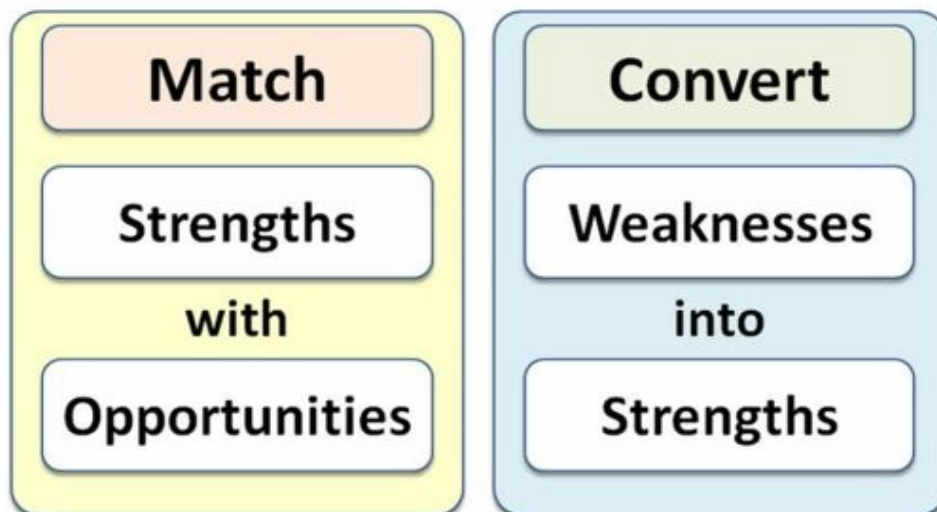
Opportunities and threats are external to the business and can relate to any external influence:

- ⦿ Economic environment e.g. stable, declining, growth
- ⦿ Political environment
- ⦿ Degree of competition
- ⦿ Technological change
- ⦿ Legislation
- ⦿ Consumer trends
- ⦿ Demographics

There is no point producing a SWOT analysis unless it is actioned! SWOT analysis should be more than a list – it is an analytical technique to support strategic decisions

Strategy should be devised around strengths and opportunities

The key words are **match** and **convert**:



Benefits

- It facilitates an understanding of the strengths and weaknesses of the organisation – immediate action can be taken to deal with weaknesses.
- It enables senior managers to focus on strengths and use them to exploit opportunities.

- It can enable an organisation to anticipate future business threats and take action to avoid or minimise their impact.

Limitations

- Bias - is often completed by the businesses own management team, A reluctance to admit to weaknesses and to focus too much on the strengths could mean that the business fails to improve in key areas. (may need to use an external impartial group to undertake it)
- The business needs to conduct an effective PESTLE analysis to identify opportunities and threats. A lack of information or understanding of these factors could mean that important information is not included. e.g. impact of economic factors.
- Failure to constantly update the SWOT analysis (particularly in dynamic markets) could lead to poor decision making.

PESTLE Analysis

Introduction

- Businesses must take into account the external environment in which they operate in order to make effective decisions;
- Most businesses are unlikely to have much control (if any) over this environment;
- Businesses need to monitor their environment constantly, in order to react to any changes that occur;
- The most competitive businesses will anticipate change, rather than react to it.

Overview of the External Environment using PESTLE Analysis

PESTLE Analysis provides a useful way to analyse the external environment. The acronym PESTLE stands for:



PESTLE Analysis

P	E	S	T	L	E
POLITICAL	ECONOMICAL	SOCIAL	TECHNOLOGICAL	LEGAL	ENVIRONMENTAL
Example: - Current tax policy - Brexit - Trade policies - Political stability - Government policy	Example: - Inflation rate - Exchange rates - Economic growth - Interest rates - Disposable income - Unemployment rate	Example: - Lifestyle attitudes - Cultural barriers - Population growth - Population age - Health consciousness - Target demographics	Example: - Level of innovation - Automation - Technological awareness - Cybersecurity - Technological change - Internet availability/speed	Example: - Employment laws - Discrimination laws - Health and safety - Copyright protection - Consumer safety	Example: - Weather - Climate change - Environmental policies - NGO pressure - Recycling - Pollution - Sustainability

NOTE: Questions are likely to focus on one or two of these factors only – the extract evidence will provide information which allows you to identify the specific factors that are potentially affecting the business.

Porter's Five Forces

In 1979, Michael Porter, a Professor at Harvard Business School, created a framework to look at the attractiveness to businesses, in terms of profitability, of markets.

Each of the Five Forces will affect the profitability of businesses in the industry. Each business should use this strategy to analyse their position, and therefore 'attractiveness', in that market.



- **Threat of new entrants** – the likelihood of new businesses joining the industry
- **Threat of substitute products** – the likelihood of new products being introduced into the industry. Are there barriers to entry to stop this from happening?
- **The intensity of competitive rivalry** – how aggressive is the competition. This will depend on the concentration of businesses in the industry e.g. duopoly leads to non-price competition
- **The bargaining power of suppliers** – what power do suppliers have over businesses that they supply to?
- **The bargaining power of customers** – what power do customers have over businesses that they buy from?

Barriers to entry are any factors that stop a firm from entering a market. Some markets will have high barriers to entry e.g. the cost of research and development in hi-tech industries.

Barrier to Entry	Notes
Investment cost	High cost will deter entry High capital requirements might mean that only large businesses can compete
Economies of scale available to existing firms	Lower unit costs make it difficult for smaller newcomers to break into the market and compete effectively
Regulatory and legal restrictions	Each restriction can act as a barrier to entry E.g. patents provide the patent holder with protection, at least in the short run
Product differentiation (including branding)	Existing products with strong USPs and/or brand increase customer loyalty and make it difficult for newcomers to gain market share
Access to suppliers and distribution channels	A lack of access will make it difficult for newcomers to enter the market
Retaliation by established products	E.g. the threat of price war will act to discourage new entrants But note that competition law outlaws actions like predatory pricing

What makes an industry easy or difficult to enter? The following table helps summarise the issues you should consider:

Easy to Enter	Difficult to Enter
Common technology	Patented or proprietary know-how
Access to distribution channels	Well-established brands
Low capital requirements	Restricted distribution channels
No need to have high capacity and output	High capital requirements
Absence of strong brands and customer loyalty	Need to achieve economies of scale for acceptable unit costs

FACTORS AFFECTING THE BUYING POWER OF CUSTOMERS

Factor	Note
Number of customers	The smaller the number of customers, the greater their power
Their size of their orders	The larger the volume, the greater the bargaining power of customers
Number of firms supplying the product	The smaller the number of alternative suppliers, the less opportunity customers have for shopping around
The threat of integrating backwards	If customers pose a threat of integrating backwards they will enjoy increased power
The cost of switching	Customers that are tied into using a supplier's products (e.g. key components) are less likely to switch because there would be costs involved

FACTORS AFFECTING THE BARGINING POWER OF SUPPLIERS

If a firm's suppliers have bargaining power they will:

- Exercise that power
- Sell their products at a higher price
- Squeeze industry profits

If the supplier forces up the price paid for inputs, profits will be reduced. It follows that the more powerful the customer (buyer), the lower the price that can be achieved by buying from them.

Suppliers find themselves in a powerful position when:

- There are only a few large suppliers
- The resource they supply is scarce
- The cost of switching to an alternative supplier is high
- The product is easy to distinguish and loyal customers are reluctant to switch
- The supplier can threaten to integrate vertically
- The customer is small and unimportant
- There are no or few substitute resources available

FACTORS AFFECTING THE DEGREE OF COMPETITIVE RIVALRY

Factor	Note
Number of competitors in the market	Competitive rivalry will be higher in an industry with many current and potential competitors
Market size and growth prospects	Competition is always most intense in stagnating markets
Product differentiation and brand loyalty	The greater the customer loyalty the less intense the competition The lower the degree of product differentiation the greater the intensity of price competition
The power of buyers and the availability of substitutes	If buyers are strong and/or if close substitutes are available, there will be more intense competitive rivalry
Capacity utilisation	The existence of spare capacity will increase the intensity of competition
The cost structure of the industry	Where fixed costs are a high percentage of costs then profits will be very dependent on volume As a result there will be intense competition over market shares
Exit barriers	If it is difficult or expensive to exit an industry, firms will remain thus adding to the intensity of competition

A substitute product can be regarded as something that meets the same need e.g. bus and a train can both be used to reach a destination.

If there are many credible substitutes to a firm's product/service, it will limit the price that can be charged and will reduce profits.

Factors affecting the threat of substitutes include:

- How the substitute performs or works is a key factor in the mind of the consumer. This will include elements such as effectiveness and quality.
- The price/performance ratio indicates how much of a threat the substitute is. A low price and high performance will suggest a significant threat.
- The ease of switching to the substitute, including the cost, will also have a significant impact.

In London, we have seen a massive switch from the car to the bicycle. It is a significantly cheaper form of transport and is far more effective as a means of getting from A to Z in the busy London roads.

Advantages

- ⊙ Allows a business to assess new markets. e.g. if they are considering a diversification strategy. For example, it will help them to determine if there are barriers to entry which would make it very difficult to penetrate the market. For example, a potential new entrant into the chocolate market would quickly realise that it would be very difficult to compete in the mass market due to the intensity of rivalry that currently exists- use of the this model should prevent time and finance being wasted.
- ⊙ Allows a business that is already trading in the market to monitor changes e.g. power of customers increasing. This will allow the business to modify their objectives and strategies to deal with any significant changes.

Disadvantages

- ⊙ Dynamic markets require business to constantly update the model. e.g. increased threat from substitutes. A business that does not have the resources to keep updating the Five forces may base decisions on out of date information and this could lead to poor decision-making.
- ⊙ The model focuses on the market but it is not an individual business analysis tool. Business owners would gain more benefit from conducting a SWOT analysis.

3.1.2 - Growth

Objectives of growth

Objectives of growth include:

Internal economies of scale - the advantages enjoyed by a business as it increases the scale of its current operations.

As output increases the cost per unit falls.

Lower unit costs are very important in making a business more competitive. They will allow a business to:

1. Reduce prices, therefore selling more, whilst keeping the same profit margin

Or

2. Maintain the same price and earn more profit per unit on the product.

Internal economies are when the business grows in size.

Purchasing (Bulk-buying) economies

As businesses grow they need to order larger quantities of supplies. For example, they will order more raw materials. As the order level increases, a business obtains more bargaining power with suppliers. It may be able to obtain discounts and lower prices for the raw materials.

Production (or Technical) economies

Businesses with large-scale production can afford more advanced machinery and technology which leads to greater efficiency and consequently lower costs per unit.

Financial economies

Many small businesses find it hard to obtain finance and when they do obtain it, the cost of the finance (interest payments) is often quite high. This is because small businesses are perceived as being riskier than larger businesses that have developed a good track record. Larger firms therefore find it easier to find potential lenders and to raise money at lower interest rates.

Marketing economies

Every part of marketing has a cost – particularly promotional methods such as advertising and running a sales force. Many of these marketing costs are fixed costs and so as a business gets larger, it is able to spread the cost of marketing over a wider range of products and sales – cutting the average marketing cost per unit.

Managerial economies

As a firm grows, there is greater potential to employ the “best” managers (can offer higher wages) to specialise in particular tasks (e.g. marketing, human resource management, finance). Specialist highly skilled managers are likely to be more efficient as they possess a high level of expertise, experience and qualifications leading to lower costs per unit.

External economies are when a business enjoys lower unit costs as a result of external factors such as a growth in the industry and geographical clustering within an industry.

External economies of scale include:

Expertise	Cooperation	Support services
The benefits enjoyed when a region or country becomes renowned for a particular industry leading to more highly skilled workers, improved training and greater talent pool leading to a fall in unit costs.	Greater cooperation between businesses within the same industry and region resulting in greater efficiencies.	The benefits enjoyed when ancillary services that specialise in a particular industry locate near to the industry. This reduces business costs.
Local universities and training organisations offer specialist courses. Ease of recruitment. Expertise of employees.	Network groups. Joint projects such as funding infrastructure and research and development.	Specialist services such as banking, insurance, waste management. Small businesses supplying to the industry e.g. a component manufacturer.

Other objectives of growth include:

Increase market power over customers and suppliers:

- Brand loyalty
- Barriers to entry
- Stronger negotiating power

Increase market share and brand recognition:

- Dominant business
- Saturate the market
- Strong physical and promotional presence

Increased profitability:

- Lower costs through economies of scale
- Ability to charge higher prices
- Increased productivity and efficiency

Organic Growth

Organic (or internal) growth involves expansion from within a business, for example by expanding the product range, or number of business units and location.

Organic growth builds on the business' own capabilities and resources. For most businesses, this is the only expansion method used.

Methods of growing organically

- **New products**
Extending the existing product range
- **New markets**
Opening new outlets in new areas of a domestic market (e.g. different region in the UK) or expanding into other countries

- **New routes to market**
Multi-channel distribution e.g. start selling online
- **Franchising**
Adapting the business model to allow for quicker growth through franchises
- **Diversification**
Bringing out new products in new markets

Advantages and Disadvantages of organic growth

- | | |
|---|---|
| <ul style="list-style-type: none"> ⊙ Minimises the financial risk and can grow incrementally (i.e. gradually) and avoid significant cash outlays ⊙ More likely to be funded with retained profit ⊙ Do not have to pay an inflated price to shareholders of another business. ⊙ Retains the company culture – therefore avoids a clash of culture ⊙ Can be steady growth – less risk of diseconomies of scale and overtrading | <ul style="list-style-type: none"> ⊙ Potential for growth is limited due to being in a saturated market ⊙ Missed opportunities from potential mergers and takeovers ⊙ New markets and countries may be difficult to penetrate due to protectionism (Theme 4) ⊙ Lack of competitiveness due to a lack of economies of scale (especially if competitors are growing via inorganic methods) ⊙ Dissatisfaction from shareholders who are seeking faster growth |
|---|---|

Inorganic Growth

Growth that involves mergers and takeovers with other businesses.

Merger

- ⊙ When two or more businesses agree to become integrated to form one business under joint ownership



Takeover

- ⊙ When one business gains control over another and becomes the owner. This can be achieved by buying 51% of the shares



Advantages of mergers and takeovers

Cost Synergies. Can reduce costs due to duplicate resources. For example, there will be two marketing departments so some staff can be made redundant (long term labour cost savings). Also there may be the option to close down some shops or manufacturing facilities.

Economies of scale. e.g. purchasing economies because of increased order size, bulk-buying discounts etc.

Increased revenue and market share. Increased size of the combined company increases market power and ability to set higher prices.

Cross-selling. This is when the two companies involved in the deal sell each other's products and services (in their shops or websites), increasing sales.

Acquiring unique capabilities and resources. Sometimes it's simply impossible for a company to create the technology, resource etc it needs to sustain its growth. It can be a lot simpler to just buy it.

International Expansion. Acquiring a local competitor helps to get over culture issues, government policy, regulation and other issues related to international expansion.

Disadvantages of mergers and takeovers

Original purchase cost – may need to take out loans or significantly reduce the cash reserves

Opportunity cost – i.e. this finance could have been spent on the existing business e.g. product development

Diseconomies of scale if business becomes too large, which leads to higher unit costs. E.g. due to poor communication, poor co-ordination or fall in employee motivation

Risk of overtrading – grow too quickly and run out of cash.

Clashes of culture between different types of businesses can occur, reducing the effectiveness of the integration. - leads to diseconomies of scale.

May need to make some workers redundant, especially at management levels – this will mean paying short term redundancy packages – so increased costs and may also influence motivation, which will impact on productivity and efficiency.

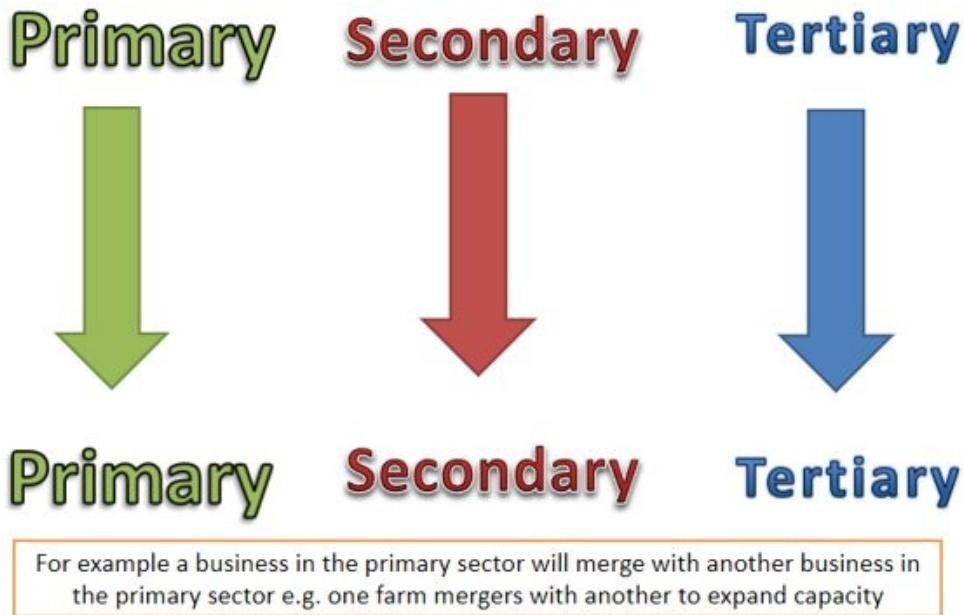
May be a conflict of objectives between different businesses, meaning decisions are more difficult to make and causing disruption in the running of the business.

Horizontal and Vertical integration

:

External growth through mergers and takeovers can take several forms:

Horizontal - 2 businesses at the same stage within a process integrate



Potential Advantages of Horizontal Integration

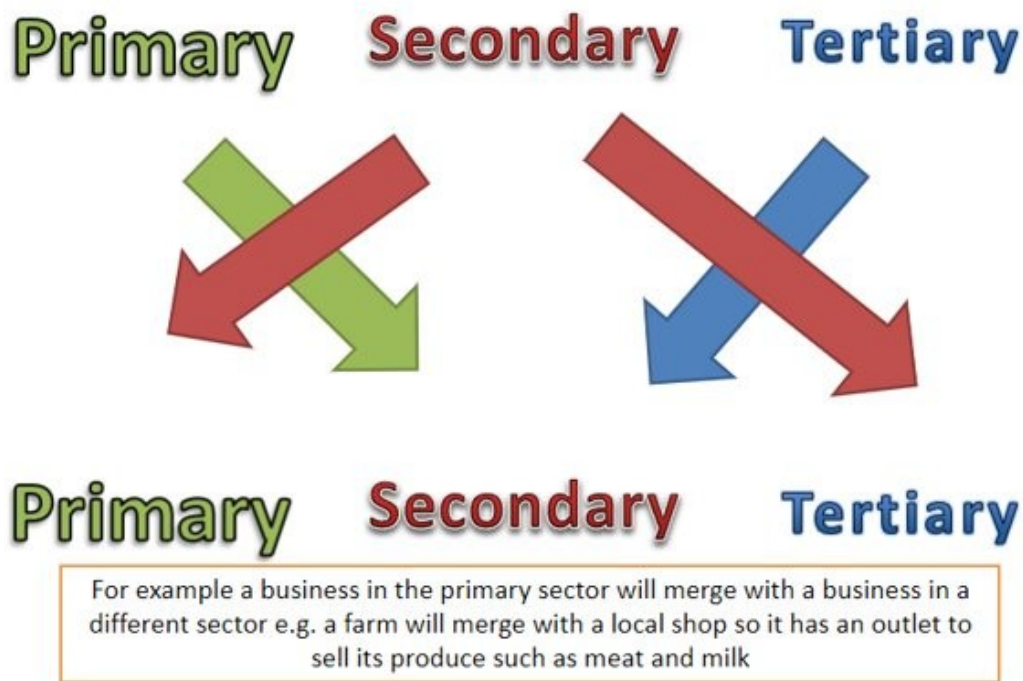
- Immediately increase market share
- Benefit from economies of scale
- Cost savings from the rationalization of the business – this often involves sizeable job losses
- Can enter new markets (e.g. overseas)
- Reduces competition if removing key rivals
- Buying an existing and well-known brand can be cheaper than organically growing a brand – this can then make the entry barriers higher for potential rivals

Potential disadvantages of Horizontal Integration

- Diseconomies of scale if business becomes too large, which leads to higher unit costs. E.g. due to poor communication, poor co-ordination or fall in employee motivation
- Risk of overtrading

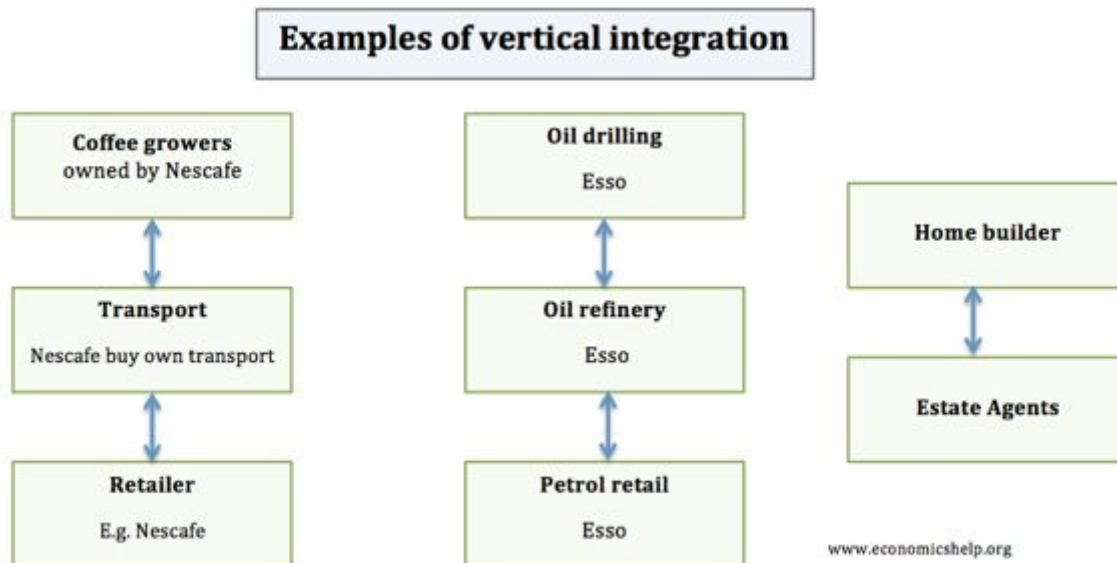
- May be blocked by a regulatory body e.g. CMA in the UK
This is because it is considered to not be in the best interests of key stakeholder groups, such as customers. e.g Asda and Sainsbury
- Clashes of culture between different types of businesses can occur, reducing the effectiveness of the integration.
- May need to make some workers redundant, especially at management levels – this will mean paying short term redundancy packages – so increased costs and may have an effect on motivation, which will impact on productivity.
- May be a conflict of objectives between different businesses, meaning decisions are more difficult to make and causing disruption in the running of the business.

Vertical - 2 businesses at different stages within a process integrate



Forward vertical – joins with a business at the next stage in the process e.g. manufacturer with a retailer

Backward vertical - joins with a business at an earlier stage in the process e.g. a manufacturer with a supplier of a raw material



Potential Advantages of Vertical Integration

- Cannot be held to ransom by another business e.g. suppliers setting very high prices or retailers demanding very low prices
- Potential competitive advantage – e.g. can receive supplies at "cost" price as they own the supplier (either raw material suppliers or a manufacturer– makes the business more price competitive (or retain current prices and generate higher profit margins)
- Can stop supplying competitors who use the same suppliers OR increase prices for competitors to make it more difficult for them to compete against the business.
- If the business controls the retail element they can also prevent competitors from selling their product in their outlets. E.g. if Heineken purchase pubs /bars they can stop rivals from selling their products such as beer and cider in these outlets.
- Personally manage the standard of quality

Potential disadvantages of Vertical Integration

- Vertical mergers will have less economies of scale because most of the production is at different stages of production. (e.g. purchasing economies)
- May lack the expertise required e.g. no retail expertise
- Lose focus on their core competency e.g. if they are a manufacturer and shift their attention (time and resources) to the new retail operation – may weaken the manufacturing business
- The initial costs may be significant – e.g. purchase price and management costs.

Conglomerate

A conglomerate is a corporation made up of several different, independent businesses.

In a conglomerate, one company owns a controlling stake in smaller companies that each conduct business operations separately.

Conglomerates can be created in several ways, including mergers or acquisitions.

Conglomerate integration refers to the process by which a company expands its operations into unrelated business areas or industries. Here are some potential advantages of conglomerate integration:

1. **Diversification:** By diversifying its operations across different industries, a company can spread its risk and reduce its dependence on any one particular market or product. This can help to protect the company against downturns in any one industry.
2. **Increased revenue:** Conglomerate integration can lead to increased revenue by expanding the company's customer base and market share. By entering into new markets and industries, the company can tap into new sources of revenue.
3. **Economies of scale:** Conglomerate integration can lead to economies of scale by allowing the company to share resources and reduce costs. For example, the company may be able to share administrative expenses, research and development costs, and marketing expenses across different business units.
4. **Cross-selling opportunities:** Conglomerate integration can create cross-selling opportunities by allowing the company to leverage its existing customer base to sell new products or services. For example, a company that sells computer hardware may be able to cross-sell software or other related products to its existing customers.
5. **Flexibility:** By having operations in different industries, a company can be more flexible and adaptable to changes in the market. If one industry experiences a downturn, the company can shift its focus to other areas that are more profitable.

It's important to note that conglomerate integration can also have some potential disadvantages, such as increased complexity and difficulty in managing a diverse range of business units. As with any business decision, it's important for companies to carefully weigh the potential advantages and disadvantages before pursuing conglomerate integration.

Problems arising from growth

Increasing the size of a business does not always result in lower costs per unit. Sometimes a business can get too big!

Diseconomies of scale occur when **output increases at too fast a rate and the cost per unit increases**.

Diseconomies of scale occur for several reasons, but all as a result of the difficulties of managing a larger workforce.

Poor communication

As the business expands communicating between different departments and different branches/sites (i.e. located in different geographical locations) becomes more difficult. In addition, there may be more written forms of communication (e.g. newsletters, notice boards, e-mails) and less face-to-face meetings, which can result in less feedback and therefore less effective communication.

Lack of motivation

Workers can often feel more isolated and less appreciated in a larger business and so their loyalty and motivation may diminish. It is harder for managers to stay in day-to-day contact with workers and build up a good team environment and sense of belonging. This can lead to lower employee motivation with damaging consequences for output and quality. The main result of poor employee motivation is falling productivity levels and an increase in average labour costs per unit.

Loss of direction and co-ordination

It is harder to ensure that all workers are working for the same overall goal as the business grows. It is more difficult for managers to supervise their subordinates and check that everyone is working together effectively, as the spans of control have widened. A manager may be forced to delegate more tasks, which while often motivating for his subordinates, leaves the manager less in control.

Overtrading

Overtrading happens when a business expands too quickly without having the financial resources to support such a quick expansion. If suitable sources of finance are not obtained, overtrading can lead to business failure (run out of cash). Importantly, overtrading can occur even if a business is profitable. It is an issue of working capital and cash flow.

Overtrading is, therefore, essentially a problem of growth. It is particularly associated with retail businesses who attempt to grow too fast. Overtrading is most likely to occur if:

- Growth is achieved by making significant capital investment in production or operations capacity before revenues are generated
- Sales are made on credit and customers take too long to settle amounts owed
- Significant growth in inventories is required in order to trade from the expanding capacity

- A long-term contract requires a business to incur substantial costs before payments are made by customers under the contract

3.3.3 – Decision making techniques

Quantitative sales forecasting

- Sales forecasting is the process of predicting future sales levels by volume or value and future trends.
- Quantitative sales forecasting is based on data which can be historic or the result of quantitative research.
- Sales forecasting will be used to:
 - Inform resource management about inventory levels, production output and logistics.
 - Inform cash flows and budgets.
 - Aid workforce planning.

Times Series Analysis

- ⊙ Time-series analysis shows past sales figures in date order
- ⊙ Marketers use this historical data, after fluctuations have been smoothed out, to identify trends
- ⊙ Trends are then used to predict future sales
- ⊙ Moving averages
 - ⊙ Shows whether a trend is significant by smoothing out fluctuations in data
 - ⊙ Allows for better identification of an overall trend
 - ⊙ Identifies influencing factors on future sales e.g. seasonal, cyclical or random fluctuations
 - ⊙ Sufficient data is needed to give validity to the trend identified

Three Period Moving Average

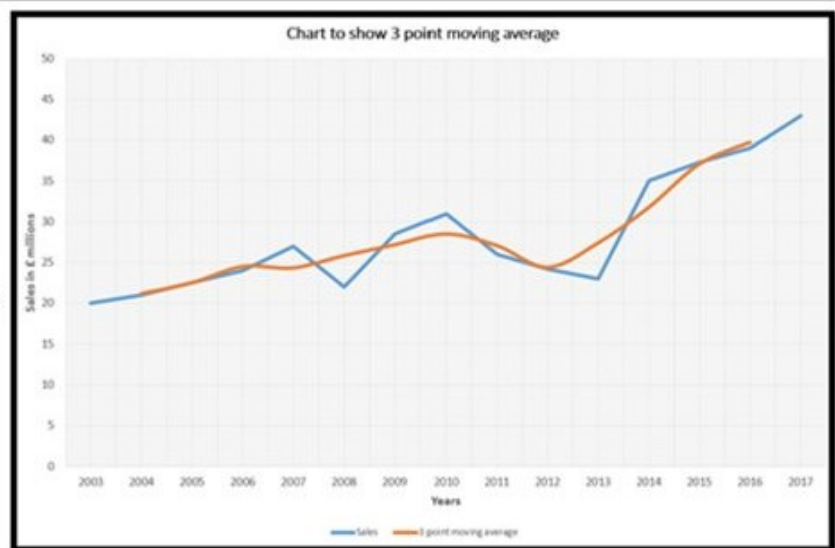
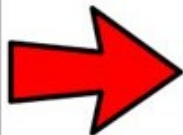
Month	Sales £m	3 period moving average
Jan	10	
Feb	14	12
Mar	12	11.67
Apr	9	
May	11	
June	13	
July	12	
August	11	

$10+14+12 = 36$
 $36/3 = 12$

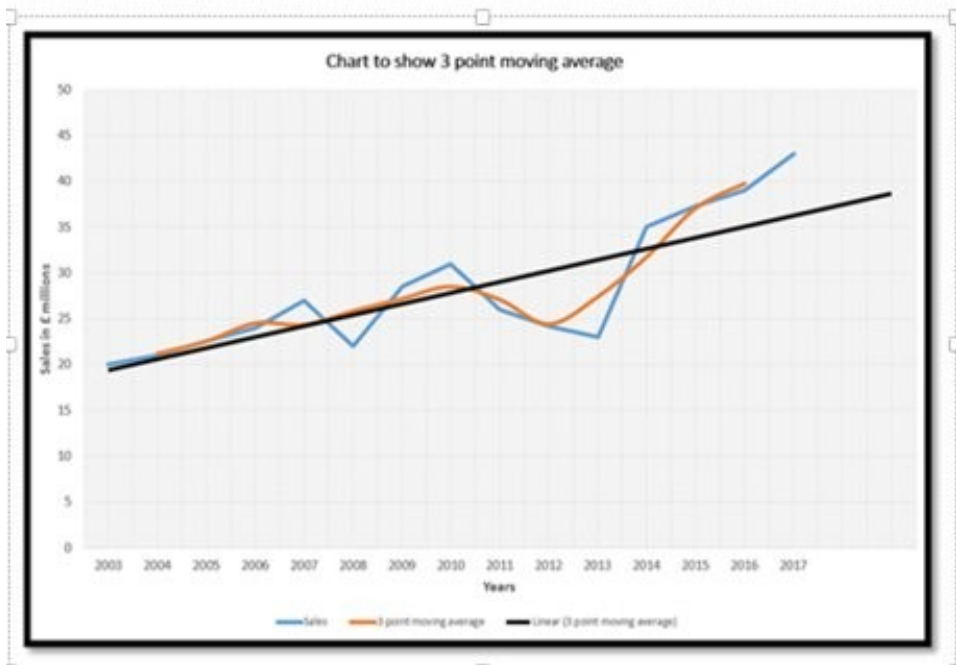
$14+12+9 = 35$
 $35/3 = 11.67$

Example

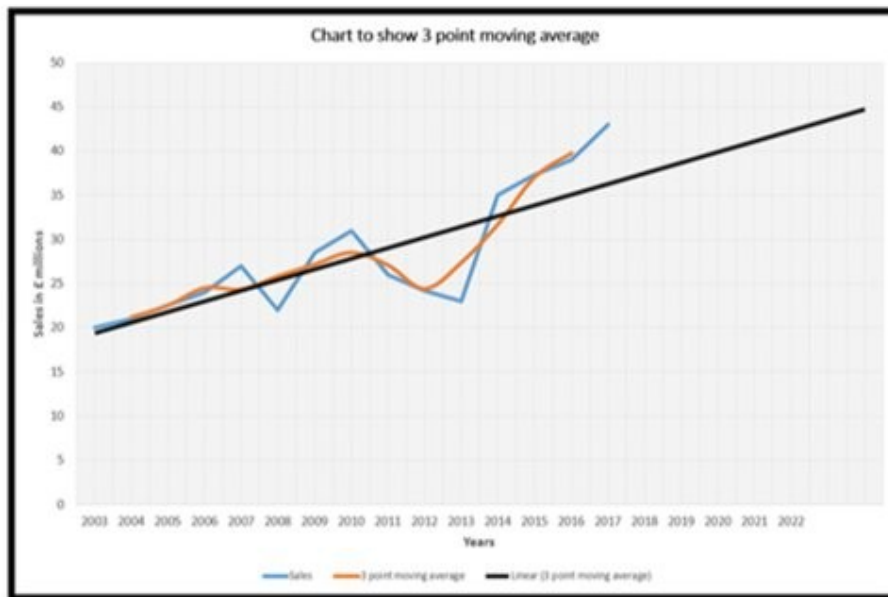
Year	Sales (£ millions)	3 point moving average
2003	20	
2004	21	21.17
2005	22.5	22.5
2006	24	24.5
2007	27	24.33
2008	22	25.83
2009	28.5	27.17
2010	31	28.5
2011	26	27.07
2012	24.2	24.4
2013	23	27.4
2014	35	31.77
2015	37.3	37.1
2016	39	39.77
2017	43	



Next step is to add a line of best fit onto the graph – this is a straight line through the data with equal values on either side of the line. Note - you will not need to actually draw one of these in an exam, understanding how one is drawn is enough.



Take the line of best fit and extend it forwards (in a straight line) for the next 5 years beyond 2017 to 2022. You can then read off predicted sales levels on the graph. Here the figure for 2022 is £42.5 million.



Let's take the £42.5 extrapolated figure for 2022 (see step 4). Now we need to adjust the figure for variation. This is because the line of best fit doesn't take into account all the peaks and troughs in the lines, so we make another calculation:

Year	Sales (£ millions)	3 point Moving average	Variation
2003	20		
2004	21	21.17	-0.17
2005	22.5	22.5	0
2006	24	24.5	-0.5
2007	27	24.33	2.67
2008	22	25.83	-3.83
2009	28.5	27.17	1.33
2010	31	28.5	2.5
2011	26	27.07	-1.07
2012	24.2	24.4	-0.2
2013	23	27.4	-4.4
2014	35	31.77	3.23
2015	37.3	37.1	0.2
2016	39	39.77	-0.77
2017	43		

- 1) Go back to the original table and calculate the variation between the original data and the moving average.
- 2) The total variations (when they are all added up) is **-£1.01 million**
- 3) Divide the total amount of variations -£1.01 by the number of variations **13 = -£0.08 million (rounded up)** - This is the **AVERAGE VARIANCE FROM TREND**
- 4) Add -£0.08 million to 2022 sales forecast of £42.50 million
- 5) This gives us a final result of **£42.42 million** - the adjusted sales forecast to take account of the average variance.

Why use Four Quarter Moving Averages?

Many businesses will wish to **smooth data over the four quarters of the year.**

This is because there could be significant fluctuations due to the **seasonal nature of the business.**

In this case they will need to use **4 quarter moving averages.**

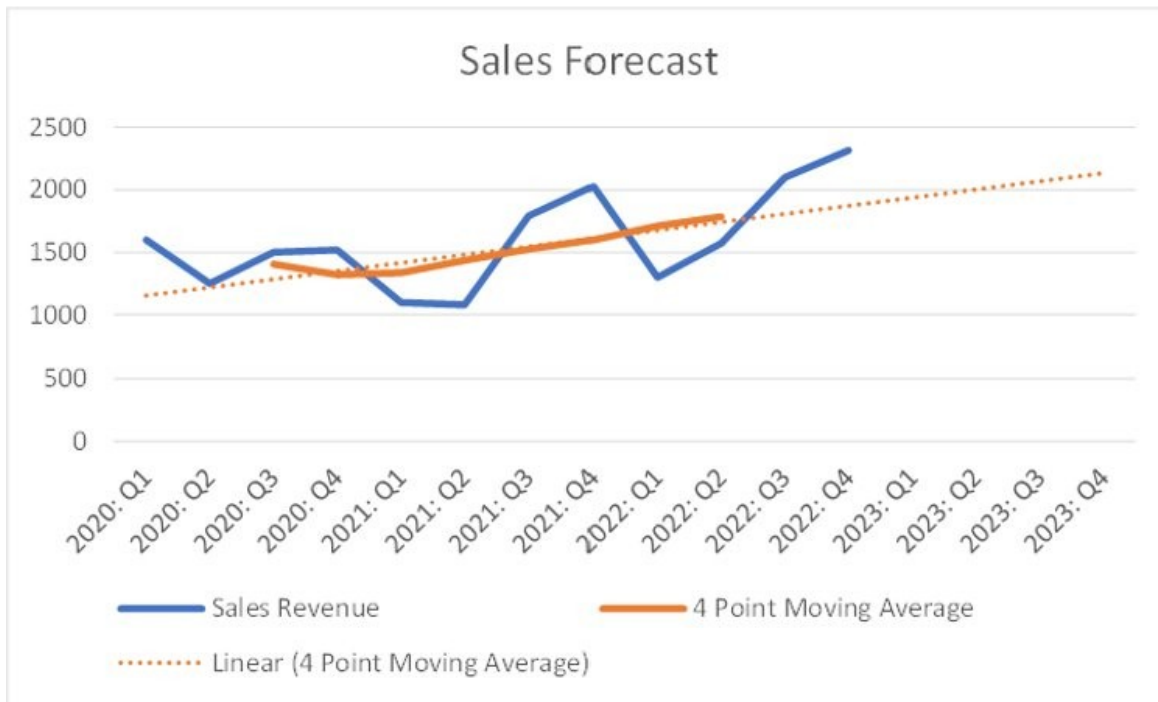
Important: Centring the Average

If they do this unlike the 3 period moving average there is **NO MIDDLE POINT** to plot the moving average figure (TREND)

Instructions

- Calculate the 4 Year totals
- Add up the two 4-year totals to get the 8-year total
- Divide the 8-year total by 8, make sure you plot this against the centred value
- Calculate the Variation of each 4 point average (sales - 4 point centred average)

Date	Sales	4 point total	8 point total	4 point centred average	Variation (Actual - Trend)
2020: Q1	1600				
2020: Q2	1250				
		5870			
2020: Q3	1500		11240	1405	95
		5370			
2020: Q4	1520		10570	1321.25	198.75
		5200			
2021: Q1	1100		10690	1336.25	-236.25
		5490			
2021: Q2	1080		11485	1435.625	-355.625
		5995			
2021: Q3	1790		12190	1523.75	266.25
		6195			
2021: Q4	2025		12880	1610	415
		6685			
2022: Q1	1300		13680	1710	-410
		6995			
2022: Q2	1570		14280	1785	-215
		7285			
2022: Q3	2100				



Sales Forecast for 2023 Q4 = £2100

Average Variance from the Trend

$$(95) + (198.75) + (-236.25) + (-355.625) + (266.25) + (415) + (-410) + (-215)$$

$$= -241.875/8$$

$$= \underline{-30.2344}$$

Adjusted Sales Forecast 2023 Q4 Figure

$$2100 - 30.2344$$

$$= \underline{2069.77}$$

Cyclical variation Q4

Cyclical variation - focuses on just a specific quarter (e.g. just Q4)

$$415 + 198.75 = 613.75/2 = \underline{306.875}$$

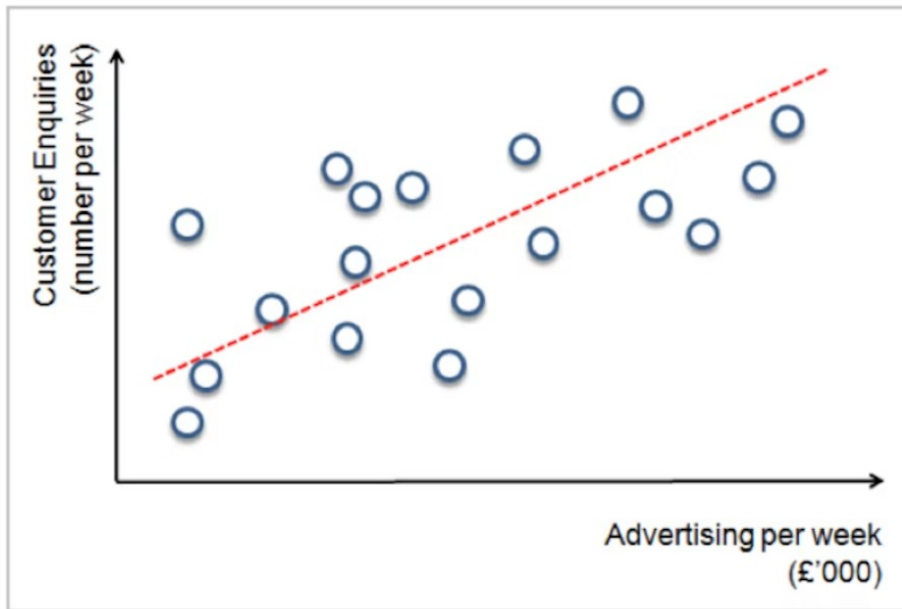
Adjusted Sales Forecast 2023 Q4 Figure

$$2100 + 306.875 = \underline{2406.88}$$

Correlation is another method of **sales forecasting**. Correlation looks at the **strength of a relationship** between two variables.

For marketing, it might be useful to know that there is a predictable relationship between sales and factors such as advertising, weather, consumer income etc.

Correlation is usually measured by using a scatter diagram, on which data points are plotted. For example, a data point might measure the number of customer enquiries that are generated per week (x-axis) against the amount spent on advertising (y-axis). This is illustrated below:



It is normal convention to show the:

- **Independent variable** (the factor that causes the other variable to change) on the x-axis
- **Dependent variable** (the variable being influenced by the independent variable) on the y-axis

How can a marketing manager make sense and use of all the data points once they have been plotted on the scatter diagram?

The answer is a "**line of best fit**" (**the regression line**) which attempts to plot the mathematical relationship between the variables based on the data points. This can be drawn by hand or using an Excel spreadsheet or specialist marketing software.

The **line of best fit** indicates the **strength of the correlation**.

Strong correlation means that there is little room between the data points and the line.

Weak correlation means that the data points are spread quite wide and far away from the line of best fit.

If the data suggests strong correlation, then the relationship might be used to make marketing predictions.

Benefits	Limitations
❑ More accurately predict future sales levels ❑ This helps them to predict future cash flows ❑ Can also help to manage resources efficiently ❑ Reduce risk of producing too much which will be wasted or too little which will result in a shortage and unhappy customers.	❑ Past performance is no guarantee of the future ❑ Businesses need to appreciate the SWOT and PESTLE factors that may affect future predictions, for example; ❑ Weather ❑ Trends ❑ Competitor activity ❑ In high technology markets change happens rapidly and products have a short product life cycle, therefore extrapolation can be misleading

Investment Appraisal

Theory

Investment Appraisal (IA) is a tool used by businesses to compare projects, to help them to work out which project will best meet their business objectives e.g. profit maximisation or cost efficiency.

Example

Imagine you are a Finance Manager in a business. Your job is to ask department managers for new project ideas and then to decide which project should go forwards. You are at a board meeting with the other managers who are all pitching their project ideas to you.

Your business does not have infinite money (or capital) to invest in all the projects, so you use IA methods to help narrow it down. IA will help you to decide which project should get the funding.

PAN

- 1) Payback
- 2) ARR – Average Rate of Return
- 3) NPV – Net Present Value (see next lesson)

Payback Method

A business will use the Payback method to quickly work out how many years and months it will take to payback the initial cost of an investment.

Project A

	Net cash flow Project A	Cumulative Net cash flow
Year 0	(£150,000)	(£150,000)
Year 1	£50,000	(£100,000)
Year 2	£50,000	(£50,000)
Year 3	£50,000	0
Year 4	£60,000	£60,000
Year 5	£65,000	£125,000

Payback = 3 years

Project B

	Net cash flow Project B	Cumulative Net cash flow
Year 0	(£100,000)	(£100,000)
Year 1	£50,000	(50,000)
Year 2	£40,000	(10,000)
Year 3	£30,000	20,000
Year 4	£15,000	35,000
Year 5	£5,000	40,000

Calculation of Payback

Between years 2 and 3

$$\frac{\text{£10,000}}{\text{£30,000}} \times 12 \text{ months} = 4 \text{ months}$$

Payback = 2 years 4 months

To calculate months

Cumulative net cash flow year before payback/net cash flow the following year x 12 months

Benefits

- Simple and easy to calculate + easy to understand the results
- A business can determine when it will start to generate profit
- Can assess risk – e.g. a lower Payback period is desired in a dynamic market as projected net cash flows may be not generated.

Limitations

- Does not consider profitability.
- The projected net cash flows for the next few years may be very unreliable e.g. due to external factors (PESTLE). This means that the calculations may be misleading and lead to poor decision making.
- Takes no account of the true value of money.

Average Rate of Return (ARR)

Payback does not consider how much profit can be made from the investments over the lifetime of the projects. So, a business will use ARR (which stands for average rate of return) and compare annual profit generated by the project with the initial amount invested in it.

ARR shows the expected profitability of an investment project over the projected cash flow period.

$$\frac{\text{Net return/Number of years}}{\text{Initial Cost}} \times 100$$

	Net cash flow Project A	Cumulative Net Cash Flow
Year 0	(£250,000)	(250,000)
Year 1	£80,000	(170,000)
Year 2	£70,000	(100,000)
Year 3	£70,000	(30,000)
Year 4	£60,000	30,000
Year 5	£55,000	85,000

$$\frac{85,000/5}{250,000} \times 100$$

$$= 6.67\%$$

For every £1 invested there is a return of 6.67p on average for each year of the forecasted project timeline. The higher the ARR the better.

NOTE – If you are only given one project to discuss – if the ARR is higher than the rate of interest (usually only 2-3%) then you can argue that it is better to proceed with this investment than saving the money in a bank.

Benefits

- Simple and easy to calculate + easy to understand the results.
- A business can compare the profitability of different investments.

Limitations

- The projected net cash flows for the next few years may be very unreliable e.g. due to external factors (PESTLE). This means that the calculations may be misleading and lead to poor decision making.
- Takes no account of the true value of money.
- Does not take into account the Payback period

Net Present Value (NPV)

Calculates the total return on an investment considering **the changing value of money**.

It discounts the return each year to recognise, for example, that £1 in three years' time does not have the same purchasing power as £1 does today (e.g. due to inflation). Therefore, a discount factor is used:

For example,

Year 0	Year 1	Year 2	Year 3	Year 4
1	0.91	0.83	0.75	0.68

£1 today will only have the same buying power as 91p in a year's time, 83p in two years' time, 75p in three years' time and 68p in four years' time.

Interpretation of NPV

The higher the NPV figure is, the better and when comparing two options, the project with the higher NPV should be favoured.

- Step 1 : Multiply each net cash inflow by the relevant discount factor

Year	Net cash inflow	Discount factor	NPV
0	(£13m)		(£13m)
1	£2m	0.91	£1.82m
2	£5m	0.83	£4.15m
3	£7m	0.75	£5.25m
4	£6.5	0.68	£4.42m
Step 2 : add up all the annual NPVs (years 1-5) to calculate return on the investment and subtract the initial cost			£2.64m

- A positive NPV implies a worthwhile investment

Benefits

- Considers the changing value of money e.g. adjusting to inflation
- Can compare to other investments - the higher NPV the better.

Limitations

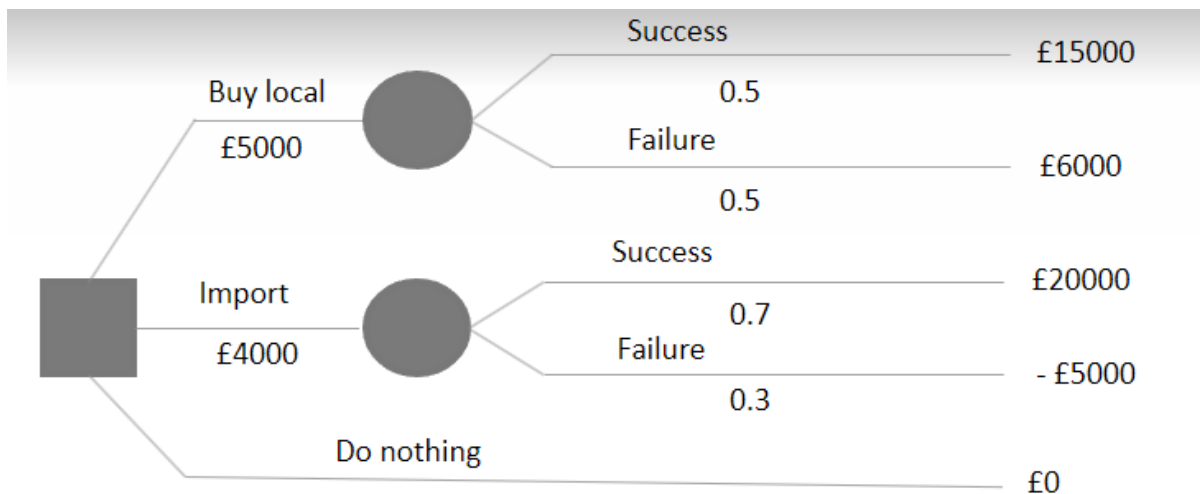
- The discount factor used may not be reliable. It is very difficult to business to judge factors such as inflation rates in the next few years.
- The projected net cash flows for the next few years may be very unreliable e.g. due to external factors (PESTLE). This means that the calculations may be misleading and lead to poor decision making.

Decision Trees

Options	Cost	Success		Failure	
		Probability	Financial outcome	Probability	Financial outcome
Buy local	£5000	50%	£15000	50%	£6000
Import	£4000	70%	£20000	30%	- £5000

What does this tell us?

- If the manufacturer chooses to buy their materials from a local supplier it will cost £5000
- If this is successful the financial outcome will be £15000, but there is only a 50% chance of success
- If this is not successful the financial outcome will only be £6000, there is a 50% chance of failure
- If the manufacturer choose to import supplies it will cost £4000
- If this is successful the financial outcome will be £20000, and there is a 70% chance of success
- If not successful the financial outcome will be -£5000, and there a 30% chance of failure



Calculate from right to left

First calculate the expected value

- ⦿ Multiply the financial outcome by the probability for each chance
- ⦿ Add the results together

Buy local

Success	$£15000 \times 0.5 =$	£7500
Failure	$£6000 \times 0.5 =$	£3000
Expected value	$=$	£10500

Import

Success	$£20000 \times 0.7 =$	£14000
Failure	$-£5000 \times 0.3 =$	-£1500
Expected value	$=$	£12500

- ⦿ The expected values are shown in the chance nodes (the circles)

⊙ Second calculate the net gain

- ⊙ Subtract the cost from the expected value

Buy local

Expected value = **£10500**

Cost = **£5000**

Net gain = **£5500**

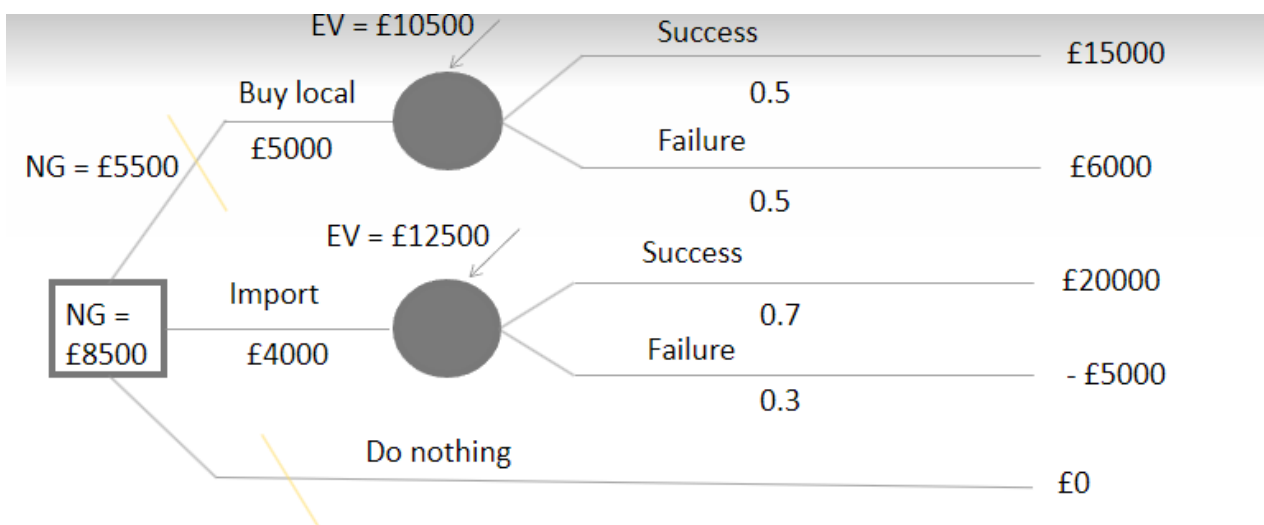
Import

Expected value = **£12500**

Cost = **£4000**

Net gain = **£8500**

- ⊙ The highest net gain is shown in the decision nodes (the square) and the other options crossed off with a single line



Based on the decision tree the business should import the raw materials as the net gain is £8500 which is £3000 higher than if they chose to buy from a local supplier.

- Decision trees allow a business to attach probabilities to different events and calculate potential financial reward
- The business can assess the risks involved by taking into account the probability of success.
- Decision trees provide a business with a visual and numeric method of comparing alternative options by estimating an expected net gain which enables managers to make an informed choice about which option to choose.

HOWEVER

- The probabilities and net outcomes are just estimates. It is very difficult to determine the probability of success even if detailed research is undertaken. Also the changing external environment and particularly the behaviour of competitors will make it very difficult to produce any accurate estimates.
- Decision trees do not provide any information regarding the payback period. A business needs to ascertain how long it will take to repay the initial costs of the investment.

OVERALL: they cannot be used in isolation to make a decision. They just provide a starting point for assessing the options. Techniques such as payback period should also be used as well as considering qualitative factors (same as for investment appraisal)

Critical Path Analysis

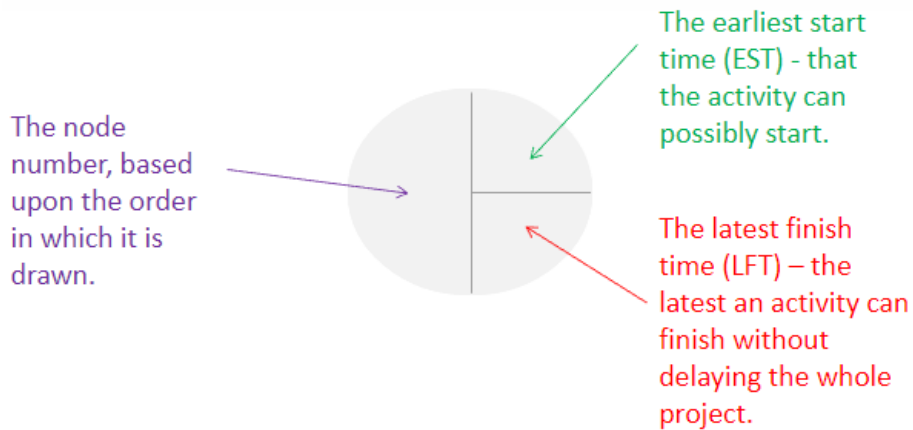
Critical path analysis is a technique used to identify the order in which all activities need to be completed when planning a complex project.

Critical path diagrams organise the activities in an order to show which activities can be done simultaneously and which are dependent upon earlier activities.

This allows for the identification of the shortest time in which a project can be completed.

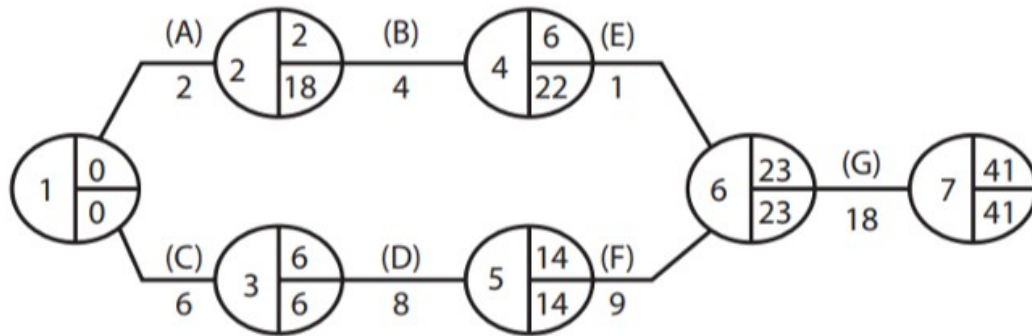
The **critical path** is the set of activities that will lengthen the duration of the project if delayed.

- A network diagram is made up of nodes
- Each node is split into 3 parts



- ⊙ Each activity is shown on a line that connects the nodes
- ⊙ The activity letter is shown above the line
- ⊙ The activity **duration** is shown below the line
- ⊙ Here activity A takes **4** weeks





Activity A: Identify problem

Activity C: Recruit staff

Activity E: Discuss IT solution

Activity G: Implementation and testing

Activity B: Consult with software supplier

Activity D: Staff training

Activity F: Order equipment from suppliers

The critical path activities – where there can be no delays - C, D, F and G

Float – this is when there is flexibility to complete an activity.

For example, Activity B the float is 16 days as it could be started on Day 2 but could be started as late as day 18 without delaying the whole project.

Benefits

- Can identify the critical path and then focus on ensuring that these specific activities are completed on time.
- Can identify activities can be carried out simultaneously - this will save time and reduce the costs of the project.
- Can use the CPA to motivate workers (provides deadlines)
- Help spot which activities have some slack ("float") and could therefore transfer some resources = better allocation of resources.
- Stakeholders will be able to see the total time frame for the project to be completed.

Drawbacks

- All the data in the network diagram is based on estimates and can quickly become inaccurate e.g. if the weather turns bad on a building project or suppliers fail to be delivered on time.
- Relies on estimations of the duration of each activity.
- May encourage inefficient behaviour on non- critical activities (i.e. where there is a float)
- Large projects can be too complex for CPA.

Contribution

The concept of contribution is a crucial one in business. It focuses on the returns (contribution) a business makes from each unit of product sold.

Formulas

Contribution per unit = Selling price per unit - Variable costs per unit

Total contribution can also be calculated as:

Contribution per unit x Number of units sold

Let's look at a simple worked example of contribution. Here is some information about a business that just sells one product:

- **Selling price per unit £30**
- **Variable cost per unit £18**
- **Contribution per unit £12 (i.e. £30 - £18)**
- **Units sold 15,000**

Using the formulae, we can perform the following calculation:

Total Contribution = £180,000 (i.e. £12 x 15,000 units)

Note that the total contribution of £180,000 is not the total profit made by the business.

Why? This is because we have not yet taken account of the fixed costs of the business. Let's do that now...

Imagine that, in the example above, the business has fixed costs totaling £116,000

If we take these away from the contribution (£180,000), then we can calculate the overall profit or loss of the business:

Total profit = Contribution - Fixed costs

Total profit = £180,000 - £116,000

= **Profit of £64,000** (i.e. £180,000 less £116,000)

Why is contribution a useful decision-making technique?

- A business selling multiple products such as a supermarket wants to know the contribution made by every product. Any products that generate a high contribution are likely to be allocated more shelf space. Products that generate a small contribution will either be removed or take up less shelf space.
- A business can determine the impact of increasing the selling price or reducing the variable cost of each product sold.
- A business can determine the total contribution required to cover fixed costs and can set prices accordingly to ensure that the business generates profit.

HOWEVER

- Variable costs may change due to suppliers increasing/decreasing prices
Variable costs may change due to economies of scale – i.e. as output is increased
Therefore, contributions for each product need to be regularly updated to inform decision making.
- Setting prices to ensure the total contribution exceeds fixed costs in order to guarantee profit is generated – does not take into account if prices are competitive.

3.3.4 – Influences on business decisions

Corporate Culture

A strong culture

- Staff respond positively to organisational values
- Shared sense of responsibility towards vision, mission and objectives
- Motivated and loyal workforce
- Greater efficiency
- Accept roles and responsibilities willingly
- Abide by policies

A weak culture

- Little alignment with organisational values
- Employees have to be forced to perform duties
- Greater management control and supervision required
- Treat the organisation as a source of income only

Handy's Four Classes of Culture



Power Culture

In a power culture there is a central figure (or small group of individuals) that will make all the decisions

- A consequence of this can be quick decision-making- adapt quickly to change.

HOWEVER

- There is little opportunity for workers to share their views or to be given any responsibilities- Therefore, there is a potential lack of motivation for many workers.

Role Culture

In a role culture the organisation is based on rules. This type of organisation is highly controlled, with everyone knowing their role and responsibilities. (written in employment contract)

Therefore, power in a role culture is determined by a person's position (role) in the organisational structure. (i.e. their job title)

- The obvious benefits for the business are that workers that are failing to follow their specific job role are easily identified and can be dealt with. Therefore owners/higher level managers have more **CONTROL**
- To ensure all workers are closely monitored there will be narrow spans of control (i.e. a tall organisational structure). Therefore, a positive benefit for the workers is more promotional opportunities – increases motivation and this benefits the business.
- Workers are also clear on exactly what their job role is and therefore more feel more secure.

HOWEVER

- Some workers will not like being controlled and would prefer more freedom – leads to demotivated workers (particularly important for higher skilled workers)

- Increased labour costs due to more supervisors/managers being employed
- Taller organisational structure so slower decision making as there is a longer chain of command.

Task Culture

In a task culture the focus is on creativity and empowering workers - Involves the use of a **MATRIX** structure

Teams are created and complete projects (e.g. new car design) – i.e – (Theme 1 topic)

The task is the important thing, so power within the team will often shift depending on the status of the project (i.e. when specific expertise is required this individual holds the power)

- Likely to result in greater motivation amongst the team members (Mayo)
- Talented workers from different departments work together – encourages intrapreneurship which will help the business to improve its performance.
- Can help to break down traditional department barriers, improving communication across the entire organisation.

HOWEVER

- Members of project teams may have divided loyalties as they report to two-line managers. Equally, this scenario can put project team members under a heavy pressure of work.
- It takes time for matrix team members to get used to working in this kind of structure.
- Team members may neglect their day-to-day functional responsibilities.

Person Culture

In organisations with person cultures, individuals very much see themselves as unique and superior to the organisation. The organisation simply exists in order for people to work. An organisation with a person culture is really just a collection of individuals who happen to be working for the same organisation. e.g. doctors surgery and law firm

- Benefits include that the organisation is highly creative and individual, with a strong emphasis on customer needs.
- It is also very quick to deal with the changing needs of the market.

HOWEVER

- Staff are often only interested in achieving individual goals.

Staff are more difficult to manage if their goals are different to the business.

Difficulties changing an established culture

Resistance to change

- Worker's failure to accept the need for change; Insecurity; Preference for the existing arrangements
- Fear of change
- Loss of power; Loss of skills; Loss of income; Fear of the unknown; Inability to perform as well in the new situation; Break up of work groups

Lack of trust

- Misunderstanding of reason for change

Organisational inertia

- Difficult to change habits that may have been embedded over a long period of time.

Alienation of:

- Suppliers
- Customers
- Other stakeholders

Kotter and Schlesinger – strategies to change an established culture



How can senior management overcome the inevitable resistance to cultural change when change is required?

This study note outlines the six approaches suggested by **Kotter & Schlesinger** (also apply to any strategic changes).

(i) Education & Communication

The starting point for successful cultural change is to communicate effectively the reasons why change is needed.

Effective education helps address misconceptions about the cultural change.

(ii) Participation & Involvement

Involvement in the process can be an effective way of bringing “on-board” people who would otherwise resist.

Participation often leads to commitment, not just compliance.

(iii) Facilitation & Support

Kotter & Schlesinger identified what they called “adjustment problems”.

Key elements of facilitation and support might include additional training, counselling and mentoring as well as simply listening to the concerns of people affected.

If fear and anxiety is at the heart of resistance to cultural change, then facilitation and support become particularly important.

(iv) Co-option & Manipulation

Co-option involves specific individuals being given specific roles that are important in changing the corporate culture. It might be sensible to use managers who are likely to be otherwise resistant to cultural change)

Manipulation involves the selective use of information to encourage people to behave in a particular way.

Whilst the use of manipulation might be seen as unethical, it might be the only option if other methods of overcoming resistance to cultural change prove ineffective.

(v) Negotiation & Bargaining

The idea here is to give people who resist an incentive to change – or leave.

The negotiation and bargaining might involve offering better financial rewards for those who accept the requirements of cultural change.

Alternatively, enhanced rewards for leaving might also be offered. (e.g. high voluntary redundancy payments)

(vi) Explicit & Implicit Coercion

This approach is very much the “last resort” if other methods of overcoming resistance to cultural change fail.

Explicit coercion involves people been told exactly what the implications of resisting cultural change will be. e.g. loss of jobs.

Implicit coercion involves suggesting the likely negative consequences for the business of failing to change its culture, without making explicit threats

The big issue with using coercion is that it almost inevitably damages trust between people in a business and can lead to damaged morale (in the short-term)

Stakeholder v Shareholder Approach to business

A stakeholder is any individual or group with an interest in the activities of the business.

These can be:

Internal i.e. from within the business

External i.e. from outside of the business

They include owners/shareholders, managers, employees, customers, suppliers, lenders, competitors, the local community, pressure groups and the government.

Stakeholder group	Potential objectives
Employees	Fair pay, job security, good working conditions
Managers	Financial incentives (e.g. bonuses), decision making power
Shareholders	High dividend payments, increased share price
Customers	Quality product, fair pricing, good customer service
Suppliers	Prompt payment, increased order levels
Government	Abide by legislation, pay the correct tax, job creation
Local community	Jobs, minimise pollution, support community projects
Society	Less pollution, ethical trading
Creditors	Prompt payments, good communication

What is the stakeholder approach?

The stakeholder approach suggests that a business' responsibilities are towards all of its stakeholders. It will aim to meet the objectives of each stakeholder group.

What is the shareholder approach?

The shareholder concept suggests that a business' responsibilities are solely aimed at meeting the objectives of the shareholders.

Therefore, it has profit maximisation as its main corporate objective.

Higher profits will lead to higher dividends i.e. an increase in the income received and the share price is also likely to rise.

Conflicting stakeholder objectives

It is not possible to meet the objectives of all stakeholders.

There is conflict between the profit-based objectives of shareholders and the wider objectives of other stakeholders.

For example, increasing employees pay will increase costs and reduce profits and this conflicts with the shareholder objective to achieve profit maximisation.

Business ethics

Business Ethics looks at morality in decision-making.

This infers doing what is 'right'.

An ethical business is essentially adopting the stakeholder approach – attempting to meet their objectives.

Some ethical businesses adopt an **ethical code of practice** which informs decision-making and may set out how a they

- behave responsibly with regards to the **environment** (for example, using recycled materials in packaging)
- avoids negative impacts on **animals** (e.g animal testing)
- adopts **fair working practices** (e.g. paying a real living wage)
- implements robust and **equitable supply chains** (e.g. using sustainably-sourced raw materials in production)
- takes steps to **eliminate corruption** (e.g. ensuring appropriate tax is paid in the countries in which the business operates)
- **avoids controversial products** or take steps to minimise their impact or access to them (e.g. having strict verification procedures in place prior to cosmetic surgery procedures being carried out)
- **ceases trading** with questionable suppliers or customers (e.g. cancelling a supply contract with a supplier that uses child labour)

Trade off's

A trade-off arises where having more of one thing potentially results in having less of another.

If a business is behaving in an ethical manner, it will potentially generate lower profits due to the higher costs incurred or due to reduced revenue.

Ethical Decision	Potential Trade offs
Fair treatment of suppliers	Paying more for materials so increase costs of business
Pay taxes in the UK	Make less profit for the company
Do not exploit workers	Costs will go up within the business e.g. pay
Product placement in stores to reduce pester power	People buy less from the business
Pay above the minimum living wage	More money on staff could mean not be able to finance a large number of employees
Ethically sourced ingredients	Increases production costs

Ultimately:

Does a decision to be ethical result in a loss of profit?

OR

Does being ethical lead to higher profits in the longer term?

Pay and rewards

Pay of workers is governed by the living wage.

- Is it ethical to pay just the living wage?
- Should businesses pay above the living wage?
- Should bonuses be linked to business performance? Should CEOs receive large bonuses?
- Remuneration of leaders and managers can be seen as unethical if considered too high and disproportional to the success of the business or treatment of workers. However, does the performance of the business or the necessity to retain the best workers support very high pay?

Corporate Social Responsibility (CSR)

Corporate Social Responsibility (CSR) aims to ensure that companies conduct their business in a way that is **ethical** (i.e. adopt the stakeholder approach). This means taking account of their social, economic and environmental impact, and consideration of human rights.

It can involve a range of activities such as:

- Working in partnership with local communities
- Developing strong relationships with employees, suppliers and customers
- Environmental protection and sustainability

Some businesses have as their main purpose the fulfilment of social or environmental goals, as opposed to a business that tries to achieve its financial goals while minimising any negative impact on society or the environment. These businesses are called Social Enterprises.

Marketing benefits

- Enhanced reputation - greater customer loyalty – increased sales
- Potential for differentiation and using CSR as a USP allowing for premium pricing
- Positive media attention and PR – increased sales

Other Financial benefits

- Ability to attract ethical investors
- Avoidance of fines and environmental taxes
- Mistakes and bad PR are expensive

HR benefits

- Recruitment and retention of staff - attract a wider pool of talent and skills
- Motivation of staff

Operational benefits

- Lower production costs through efficient procedures and recycling
- Positive relationship with suppliers

All of these can result in a competitive advantage.

HOWEVER

Potential financial implications

- Looking after employees e.g. training, pay and working conditions – increased labour costs
- Ethical suppliers – often more expensive
- Product safety and greater quality – increased production costs
- Reduced prices – lower profit margins
- Environmentally friendly practices throughout the business' operation - increases costs

Not meeting corporate objectives

- Reduced short term shareholders' returns
- Slower Growth due to less finance available.

Opportunity cost

- Time and money spent on CSR, policies, reports and monitoring.

3.3.5 – Assessing competitiveness

Statement of Comprehensive Income

	Explanation
Sales revenue	Money coming in from sales Quantity sold x selling price
Cost of sales	Variable costs - directly linked to the production of the goods or services sold e.g. raw materials
Gross profit	Sales revenue – cost of sales
Other operating expenses	All fixed costs associated with the trading of the business e.g. rent, salaries and marketing expenditure
Operating profit	Gross profit – expenses
Interest	Interest paid on debt
Profit for the year (net profit)	Operating profit - interest

Stakeholder	Potential interest in a statement of comprehensive income
Employees	Job security, wage negotiations, financial incentives
Managers	Decision making e.g. suppliers & budgets, financial incentives (self & employees)
Owners	Strategic decisions e.g. investment in R&D or new markets, managers' efficiency
Customers	Exploitation, reliability of supplies
Suppliers	Credit agreements, degree of risk, cost/price negotiations
Shareholders	Dividend payments, managers' and owners' efficiency and decision making
Government	Tax liability, exploitation of customers or employees
Local community	Job security, CSR e.g. ability to support local causes
Society	Tax liability, job security, fines or cost savings due to environmental actions
Creditors	Degree of risk, willingness to extend credit terms, use of debt factoring

Statement of Financial Position

Non-current assets	Long term or fixed assets
Current assets	Assets that can be quickly turned into cash
Inventories	The value of stock held
Receivables (debtors)	Cash owing from credit sales
Cash and cash equivalents	Cash in hand or at the bank
Total current assets	All current assets added together
Current liabilities	Day to day bills to be repaid in the short term
Net current assets	Total current assets minus current liabilities
Non-current liabilities	Long term loans
Net assets	The net worth of the business' assets
Share capital	Finance raised from the sale of shares
Profit and Loss Account (retained profit)	Cumulative profits retained in the business
Total equity	The value of shareholders' funds (share capital + retained profit)

Stakeholder	Potential interest in a statement of financial position
Employees	Liquidity, ability to pay wages, job security
Managers	Year on year performance, liquidity, efficiency
Owners	Net worth, efficiency, liquidity
Customers	Confidence when making purchases
Suppliers	Liquidity, credit terms
Shareholders	Net worth, equity to debt (gearing), efficiency
Government	Statistics e.g. average company debt, inventory levels
Creditors	Liquidity, confidence, payment terms

Ratio Analysis

- Allows for a more meaningful analysis of published accounts
- Shows relationship between figures
- Used for comparisons over time
- Inter and intra business comparisons
- Intra means between businesses e.g. to compare performance to competitors or to benchmark
- Inter means within a business e.g. over time within one organisation or between branches



VGL Statement of comprehensive income (profit and loss account)

	2021	2020
	£m	£m
Sales revenue (sales turnover)	33.0	30.1
Cost of sales	(16.8)	(19.6)
Gross Profit	16.2	10.5
Operating expenses	(4.0)	(4.0)
Operating Profit	12.2	6.5
Interest	(1.2)	(1.3)
Profit for the year (net profit)	11.0	5.2

VGL Statement of financial position (Balance Sheet)

	2021	2020
	£m	£m
<u>Non-current assets (fixed assets)</u>	101	96
<u>Current Assets</u>		
Inventory (stock)	14	15
Trade receivables (Debtors)	4	7
Cash	<u>4</u>	<u>10</u>
	22	32
<u>Current Liabilities (Trade creditors)</u>	(14)	(17)
Net Current Assets	8	15
<u>Non-current liabilities (long term loans)</u>	(60)	(63)
Net Assets	49	48
Share Capital	4	4
Profit & Loss Account (retained profit)	45	44
Total Equity	49	48

Profitability ratios**(i) Gross Profit Margin**

Gross Profit x 100 2020: $\frac{10,500,000}{30,100,000} \times 100 = \underline{\underline{34.88\%}}$
Sales revenue

2021: $\frac{16,200,000}{33,000,000} \times 100 = \underline{\underline{49.09\%}}$

2020

For every £1 of sales revenue VGL generates 34.88p gross profit. The remaining 65.12p represents the cost of sales (i.e. variable costs).

2021

For every £1 of sales revenue VGL generates 49.09p gross profit. The remaining 50.91p represents the cost of sales (i.e. variable costs).

(ii) Operating Profit Margin

Operating Profit x 100 2020: $\frac{6,500,000}{30,100,000} \times 100 = \underline{\underline{21.59\%}}$
Sales revenue

2021: $\frac{12,200,000}{33,000,000} \times 100 = \underline{\underline{36.97\%}}$

2020

For every £1 of sales revenue VGL generates 21.59p operating profit. The remaining 78.41p represents variable and fixed costs.

2021

For every £1 of sales revenue VGL generates 36.97p operating profit. The remaining 63.03p represents variable and fixed costs.

(iii) Profit for the year (net profit) margin

$$\frac{\text{Operating profit - interest}}{\text{Sales revenue}} \times 100 \quad 2020: \frac{5,200,000}{30,100,000} \times 100 = \underline{17.28\%}$$

$$2021: \frac{11,000,000}{33,000,000} \times 100 = \underline{33.33\%}$$

2020

For every £1 of sales revenue VGL generates 17.28p net profit. The remaining 82.72p represents variable and fixed costs plus interest payments.

2021

For every £1 of sales revenue VGL generates 33.33p net profit. The remaining 66.67p represents variable and fixed costs plus interest payments.

Liquidity ratios

(v) Current ratio

$$\frac{\text{Current assets}}{\text{Current liabilities}} \quad 2020: \frac{32,000,000}{17,000,000} = \underline{1.88:1}$$

$$2021: \frac{22,000,000}{14,000,000} = \underline{1.57:1}$$

2020

For every £1 of short-term debt (i.e. day to day bills) VGL can generate £1.88 in cash.

2021

For every £1 of short-term debt (i.e. day to day bills) VGL can generate £1.57 in cash.

(vi) Acid test ratio

$$\frac{\text{Current assets - inventory (stock)}}{\text{Current liabilities}} \quad 2020: \frac{32,000,000 - 15,000,000}{17,000,000} = \underline{1:1}$$

$$2021: \frac{22,000,000 - 14,000,000}{14,000,000} = \underline{0.57:1}$$

2020

For every £1 of short-term debt (i.e. day to day bills) VGL can generate £1 in cash without selling existing stock.

2021

For every £1 of short-term debt (i.e. day to day bills) VGL can generate 57p in cash without selling existing stock.

Return on Capital Employed (ROCE) – NEW RATIO

A measure of how efficiently a business is using capital employed to generate profits

Capital employed = total equity (i.e. share capital + retained profit) + non-current liabilities

i.e. all the money invested in the business from:

- Share capital
- Retained profit
- Non-current liabilities (Long term loans)

$$\frac{\text{Operating profit}}{\text{Non-current liabilities} + \text{Total Equity}} \times 100$$

<u>Operating Profit</u> x 100 Capital Employed	2020: $\frac{6,500,000}{111,000,000} \times 100 = \underline{\underline{5.86\%}}$
	2021: $\frac{12,200,000}{109,000,000} \times 100 = \underline{\underline{11.19\%}}$

This ratio shows how effectively VGL turns internal and external finance invested (i.e. share capital, retained profit and loans) into operating profit.

Capital employed = non-current liabilities + total equity

<u>2020</u> For every £1 invested into VGL there is a return of 5.86p.
<u>2021</u> For every £1 invested into VGL there is a return of 11.19p.

Gearing ratio – NEW RATIO

Measures what proportion of a business' capital is funded through long term loans

Loans are “compulsory interest bearing” i.e. you have to pay interest on them even if profits are low or non-existent

A highly geared business is of greater risk if interest rates are likely to increase

$$\frac{\text{Non-current liabilities}}{\text{Total equity} + \text{non-current liabilities}} \times 100$$

Non-current liabilities x 100
Capital employed

$$2020: \frac{63,000,000}{111,000,000} \times 100 = \underline{\underline{56.76\%}}$$

$$2021: \frac{60,000,000}{109,000,000} \times 100 = \underline{\underline{55.04\%}}$$

2020

Of the total finance invested into VGL, 56.76% has been generated through external bank borrowing. (i.e. for every £1 invested into VGL 56.76p was generated through bank borrowing)

2021

Of the total finance invested into VGL, 55.04% has been generated through external bank borrowing. (i.e. for every £1 invested into VGL 55.04p was generated through bank borrowing)

Benefits of Ratio Analysis

- Accounting ratios help compare current performance with previous records – to assess the performance of managers in the last financial year
- Accounting ratios help compare a firm's performance with similar competitors
- Accounting ratios help monitor and identify issues that can be highlighted and resolved e.g. poor liquidity
- Accounting ratios help with future decision making e.g. whether to prioritise repaying long term debt.

Limitations of Ratio Analysis

- The ratios need comparison
For example, 15% for the ROCE on its own means nothing but a rise from 15% to 25% means something – **at least 5 years data** is usually required to make an accurate assessment.
- The Statement of Financial Position (SOFP) or balance sheet is just a snapshot of the business on one selected day – the ratios could change significantly during the financial year.
- The ratios are only as good as the information provided in the SOFP and SOCI – e.g. has window dressing taken place, such as delaying making payments to make the ratios look stronger.

Employee contribution to objectives

Human resource data is quantifiable information that can be used to measure workforce performance

This will help inform decision making e.g. is corrective action needed, should bonuses be paid, are staff motivated?

Human resource data includes:

- Labour turnover and retention
- Absenteeism
- Labour productivity

Labour turnover

Labour turnover is the rate of change in a firm's labour force.

Calculated as:

$$\frac{\text{Number of staff leaving in a specified time period}}{\text{Average number of staff}} \times 100$$

Example:

A car firm has 1000 full time employees in 1 year

Of these, 50 employees leave the company

What is the labour turnover for the company?

$$\frac{50}{1000} \times 100 = 5\%$$

Labour turnover is normally shown over a period of 1 year

Labour retention

Retention rates are a measure of a firm's ability to keep its workforce.

Calculated as:

$$\frac{\text{Number of employees retained in a specific time period}}{\text{Average number of staff}} \times 100$$

Low retention rates may present a threat to a business:

- High recruitment, selection and training costs
- Risk of loss of important information (secrets)
- Loss of talent

Absenteeism

Absenteeism can be defined as the number of staff who miss work as a proportion of the total number of staff.

Calculated as:

$$\frac{\text{Number of staff absent in a specified time period}}{\text{Total number of staff days worked in a specified time period}} \times 100$$

Worked example:

- A car firm has 1000 full time employees
- Of these, 40 employees did not turn up for work on a Friday
- What is the absenteeism rate for that Friday

$$\frac{40 \times 100}{1000} = 4\%$$

Labour productivity

Labour productivity is a measure of workforce performance that looks at output per worker

Calculated as:

$$\frac{\text{Total output}}{\text{Number of workers}}$$

Example:

- A car firm produces 100 000 cars per year
- It has a labour force of 1000 workers
- What is the labour productivity of the company?

$$\frac{100,000}{1000} = 100 \text{ cars per worker}$$

Labour productivity is normally shown over a period of 1 year

Human resource strategies

Financial Rewards	Employee Share Ownership
-------------------	--------------------------

Consultation Strategies	Empowerment Strategies

Financial rewards are the variety of methods that have a money value and are used to reward the workforce and influence their behaviours at work

Financial methods of motivation include:

- Piece rate is when payment is based on the number of items (pieces) produced by an employee
- Commission is when payment is based on the number of units sold
- Bonus is an additional, lump sum, one off payment to an employee for meeting individual, team or company targets
- Profit share is when a proportion of employee pay varies with the profits of the company
- Performance related pay (PRP) is when employees receive a bonus based on the performance of the employee measured against a pre agreed range of criteria

Employee share ownership

Giving employees shares or the option to buy shares in the company

The employee therefore directly benefits from the success of the company

- Dividends received
- Increased share value

The advantages of employee share schemes for employers include:

- Motivates employees to become more productive.
- Recruit or retain key employees.
- Can compensate for lower salaries.

The disadvantages of employee share schemes include:

- A falling share price damages employee morale, retention and motivation.
- Dilution of share ownership.
- Many employees would prefer other financial rewards such as bonus payments and profit sharing

Consultation strategies

- Seeking the thoughts and opinions of employees prior to making decisions
- Involving employees in decision making

- Increases feeling of worth and involvement
- Easier to implement change as staff feel involved in the decision making process
- Employees have valuable input as they are often the ones working within functions and understanding key issues e.g. production problems or customer service

Empowerment strategies

- Delegating greater responsibility to employees
- Allowing them to use their abilities and to have a greater say in the decision making process

Consultation and empowerment strategies can be achieved through:

- Matrix structure
- Employee/employer groups e.g. works councils or trade unions
- Open, two way communication channels
- Meetings and forums

3.3.6 – Managing Change

Managing change is the combination of activities involved in planning for, implementing, coordinating and monitoring the process of change. For change to be achieved with maximum positive outcomes and minimum negatives it is necessary to manage it

- Change occurs when a business alters its structure, size or strategy to respond to internal or external influences
- Change may be necessary to help a business meet its aims and objectives
- Change creates opportunities and threats
- Change should not be seen as bad but must be managed carefully to ensure a business maintains or increases its competitiveness as a result of change

Causes of change

- changes in organisational size
- poor business performance
- new ownership
- transformational leadership
- the market and other external factors (PESTLE)

Key factors in change

Organisational culture

Due to the existing organisational culture workers may resist change. This is particularly the case if changes are rarely made (workers like the way things are), there are poor employer/employee relations and a high number of workers have been employed by the business for a long period of time. Alternatively, in some organisations there is a culture where workers may embrace changes suggested by owners/management.

Size of organisation

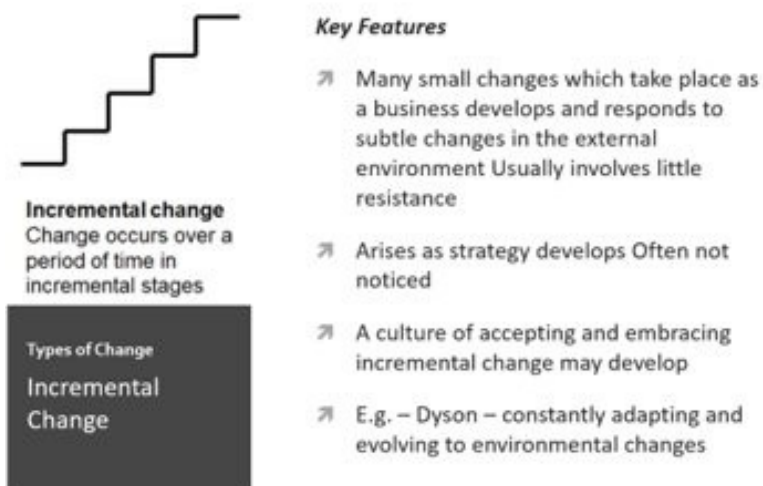
The size of the organisation will influence the ability to communicate and manage change, as well as the speed of change. Considerations include:

- Number of employees
- Geographical spread
- Levels of hierarchy
- Complexity of structure

Overall, it is more difficult to implement changes in large businesses, such as multinationals. This is because the more people there are to change, the harder it is to push change through. In a large company, such as a giant telecommunications provider, pockets of culture can form throughout the firm. If leadership then wants to push a change through, they may need to address each group in different ways. This can make decision-making extremely inefficient.

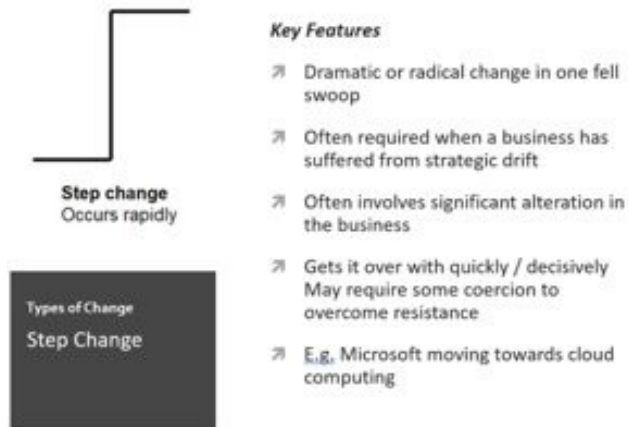
Time/speed of change

Incremental change - change that is implemented over time with a number of small changes being made on a regular basis to achieve ongoing improvements.



Rapid (step) change - rapid and sometimes unexpected having a dramatic effect on the way in which an industry or businesses operate The time required for a change can certainly have an effect on whether the change

is successful. If change can be slower, incremental, it is more likely that a majority of staff will understand and take ownership of the change.



Alternatively, if a change needs to be made quickly and this can significantly cause problems if the process is not managed properly.

Managing resistance to change

Kotter and Schlesinger's model shows 4 reasons for resistance to change:

Parochial self interest

Stakeholders fear that change will result in them being personally worse off and therefore want to protect themselves against this.

Prefer the status quo

Stakeholders are happy with the way things are and therefore just want to keep it as it is

Different assessment

Stakeholders believe that the proposed change is not the correct course of action and that they could suggest a better solution.

Misunderstanding and fear

Stakeholders believe that the motives for change are wrong, and they therefore mistrust the decision makers

Effective change management – (as covered in Corporate Culture)



How can senior management overcome the inevitable resistance to cultural change when change is required?

This study note outlines the six approaches suggested by Kotter & Schlesinger (also apply to any strategic changes).

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The starting point for successful cultural change is to communicate effectively the reasons why change is needed.

Effective education helps address misconceptions about the cultural change.

(ii) Participation & Involvement

Involvement in the process can be an effective way of bringing "on-board" people who would otherwise resist.

Participation often leads to commitment, not just compliance.

(iii) Facilitation & Support

Kotter & Schlesinger identified what they called "adjustment problems".

Key elements of facilitation and support might include additional training, counselling and mentoring as well as simply listening to the concerns of people affected.

If fear and anxiety is at the heart of resistance to cultural change, then facilitation and support become particularly important.

(iv) Co-option & Manipulation

Co-option involves specific individuals being given specific roles that are important in changing the corporate culture. It might be sensible to use managers who are likely to be otherwise resistant to cultural change)

Manipulation involves the selective use of information to encourage people to behave in a particular way.

Whilst the use of manipulation might be seen as unethical, it might be the only option if other methods of overcoming resistance to cultural change prove ineffective.

(v) Negotiation & Bargaining

The idea here is to give people who resist an incentive to change – or leave.

The negotiation and bargaining might involve offering better financial rewards for those who accept the requirements of cultural change.

Alternatively, enhanced rewards for leaving might also be offered. (e.g. high voluntary redundancy payments)

(vi) Explicit & Implicit Coercion

This approach is very much the “last resort” if other methods of overcoming resistance to cultural change fail.

Explicit coercion involves people been told exactly what the implications of resisting cultural change will be. e.g. loss of jobs.

Implicit coercion involves suggesting the likely negative consequences for the business of failing to change its culture, without making explicit threats

The big issue with using coercion is that it almost inevitably damages trust between people in a business and can lead to damaged morale (in the short-term)

Transformational leadership

Leaders with a clear vision who are able to lead others to achieve the extraordinary

- Passionate, energetic and enthusiastic
- Inspire others
- Supports every member in a team to achieve their potential as well as the whole group to achieve a successful outcome

Four components of transformational leadership:

Intellectual simulation

Challenges the status quo whilst encouraging creativity

Individualised consideration

Supportive of and encouraging to all team members

Inspirational motivation

Shared passion and a clear vision

Idealised influence

A role model who earns trust and respect

Possible Effects on a Business

Competitiveness: a transformational leader can increase competitiveness as they have a new vision for how to produce, sell and market.

Productivity: a transformational leader will have successful methods of motivation that could improve the firm's productivity.

Financial performance: a transformational leader will implement strategies that significantly improve the financial performance

Stakeholders: a transformational leader should meet the objectives of many stakeholder groups e.g. shareholders. However, some changes to improve business performance may not satisfy stakeholder objectives e.g. employees if redundancies are made or customers if some outlets are closed.

Contingency planning

Identifying Key Risks through Risk Assessment

Contingency planning (also referred to as scenario planning) is the anticipation of different business situations, emergencies or otherwise, and the decision of how to manage them. Businesses use risk and probability assessment techniques, such as decision trees, to decide which scenarios most apply to them and which of these pose the biggest threats.

Risks include:

Natural disasters

- Events caused by environmental factors e.g. earthquake, flooding, landslides

IT systems failure

- IT can be mission critical i.e. without it a business can no longer operate
- Ability to make transactions, contact customers, control operations
- Threat of cyberattacks
- Loss of customer trust

Loss of key staff

- Loss of expertise
- Damage to brand if the person is seen as key to the brand integrity
- Knowledge going to competitors

Risk Mitigation

Risk mitigation is the process of planning for disasters and having a way to lessen negative impacts. Although the principle of risk mitigation is to prepare a business for all potential risks, a proper risk mitigation plan will weigh the impact of each risk and prioritize planning around that impact. Once risks have been identified, the business needs to reduce the impact as far as possible. There are four main areas when it comes to risk mitigation:

Risk acceptance

This involves a business, usually a small one, accepting that the cost involved in preventing a risk is greater than the cost of the impact brought on by the risk.

Risk avoidance

This is when a business decides to move away from a risk, physically or otherwise. The firm may remove its operations from one part of the world because of risk brought on by war. Alternatively, a business may stop using suppliers in low wage countries to avoid the risk of being associated with unethical behaviour.

Risk limitation

When a business accepts that the risk exists and then, rather than doing nothing, works to mitigate the effects of this risk. An example might be the IT security of a business, which is increased as a way to lessen the effects of a computer virus.

Risk transference

This involves a business handing its risk to someone else, such as **outsourcing** a particular part of its operations. e.g. IT

Business continuity

An important element of risk mitigation, business continuity ensures that a firm restarts all of its key processes as soon as possible following any disaster. A business continuity plan can help with this.

Example of Business Continuity Plan for a Computer Manufacturer in Event of a Virus

Assess damage caused by impact	Systems are temporarily shut down so that the analysis team can assess which processes have been affected. Other teams work offline in the meantime.
Agree a strategy	Company has various strategies already prepared in order to react to different virus types. Leadership discusses with key IT personnel in order to choose the right strategy for the situation.
Preparation	Employees are notified of the situation and delivered an action plan in order to respond to the threat as efficiently as possible. Any equipment or backups are brought in. Press team is also notified so that they can communicate with any journalists (if necessary).

Succession planning

No business wants to lose its key staff. A key member of staff can be anyone, from the CEO or managing director to a particular marketing executive who drove sales to levels previously unseen. A key member of staff might even be that IT manager who knows every business process but keeps it all in their head.



A business needs to be ready for the eventuality of losing a key staff member. In October 2011, Apple, Inc. lost its most key staff member, Steve Jobs, to cancer. Steve Jobs led Apple, Inc. to some of the most popular computing products of all time, from the iPod and iMac to the MacBook, iPhone and iPad.

Succession plan - example

Example of Succession Plan for a Perfume Business in Event of Losing CEO	
Job description	The business must already fully understand the role and strategy of the CEO and, therefore, what would be expected of the successor. This description can continually change, too, so it is important for the CEO and firm's leadership to regularly assess this.
Find successor	Once the firm understands exactly what would be expected of its CEO, it can begin the hunt for the successor, i.e. the person who would best fill the CEO's shoes (within the company or external). This should begin as soon as possible, whether the firm is in need of a successor now or years in the future.
Decision and training	The business should have more than one successor lined up for the CEO's position. This way, if one option is no longer available, there will still be other strong candidates to choose from. The business can prepare each potential successor through formal training and work shadowing, among other methods.
Inform	Everyone will eventually find out that the business has a new CEO. However, in the beginning stages, it is most important to inform the company's leadership and directors. These people can then feed any essential information down the chain of command.
Preparation	Once the key staff are aware of the change, it is then important to initiate any training programmes necessary. It is possible, for example, that employees other than the successor take on particular tasks of the previous CEO. The new CEO may also have new strategies that everyone must follow.

Contingency planning advantages and disadvantages

Advantages

- Minimises the potential "damage" (e.g. impact on productivity, health and safety, legal action) to the business as it is able to clearly implement the contingency plan
- Enables the business to potentially only suffer short term disruption (i.e. minimises potential financial losses)
- Ensures that the business meets legislation (e.g. health and safety – must have scenario plans in place) and therefore avoids potential legal action being taken.

Disadvantages

- The opportunity cost/trade off - It can be very expensive as contingency plans need to be constantly updated and larger organisations will also have to employ specialist workers. There will also be increased training costs (to test the plans). As many of these plans will never be used and managers would prefer to spend the finance spent on other areas of the business.

- Contingency plans cannot totally eliminate damage to the business and may not always deal with the exact problems being faced.
- Businesses cannot plan for all potential disasters.